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## **LAW – 527: EQUITY, TRUST AND EASEMENT ACT (PAPER – V) 3<sup>RD</sup> SEMESTER (SYLLABUS)**

### **UNIT I – Equity:**

1. Origin and growth of equity in England.  
(i) Fusion of Common Law and Equity Jurisdiction.
  2. Position of Equity under Indian legal system.
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1. **Maxims:**
    - (i) Equity will not suffer a wrong to be without a remedy.
    - (ii) Equity follows the law.
    - (iii) Where equities are equal, the law shall prevail.
    - (iv) Where equities are equal, the first in time shall prevail.
    - (v) He who seeks equity must do equity.
    - (vi) He who comes to equity must come with clean hands.
    - (vii) Delay defects equity.
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    - (ix) Equity looks to the intent, rather than to form.
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3. Difference between Licence, Easement and Lease.
4. Revocation.

## **DETAILED NOTES AND EXPLANATION**

### **Unit I – Equity**

#### **Origin and Growth of Equity in England**

#### **Meaning of Equity**

The term ‘**Equity**’ has been derived from the Latin word ‘**Aequitas**’, meaning **fairness, justice, and conscience**.

In legal sense, *Equity* refers to a system of justice developed to **supplement and correct the rigidity of Common Law**. It is based on principles of **natural justice, good conscience, and fairness**.

Equity does not replace the Common Law; rather, it **fills in its gaps** and **remedies its defects** whenever the application of strict rules of Common Law would cause injustice.

#### **Origin of Equity**

The English legal system originally consisted of **Common Law Courts**, which strictly followed **rigid rules and procedures**. These courts provided relief only where a suitable **legal remedy (like damages)** was available.

However, with time, people found that these courts often **failed to deliver justice** because of their **technicalities, inflexibility, and formalism**.

When a person could not get relief in the Common Law Courts, he used to **petition the King**, who was considered the **"Fountain of Justice"**.

The King, being burdened with many state affairs, transferred this responsibility to his **Lord Chancellor**, who decided such petitions **according to principles of fairness and conscience**, and **not strict law**.

These decisions were known as **"decisions in equity."**

### **Development and Growth of Equity**

#### **1. Stage of Petitions to the King:**

- In the early medieval period, when Common Law was too rigid, aggrieved persons used to appeal directly to the King for justice.
- The King delegated these petitions to the **Lord Chancellor**, who acted as his representative in delivering justice.

#### **2. The Chancellor's Jurisdiction:**

- The **Lord Chancellor**, often a clergyman or man of conscience, began deciding matters based on **morality, fairness, and natural justice** rather than legal technicalities.
- Thus, the **"Court of Chancery"** evolved, which became the **Court of Equity**.

#### **3. Establishment of the Court of Chancery:**

- By the **15th century**, the Court of Chancery became a **separate and recognized judicial body**.
- It granted remedies like **injunctions, specific performance, rescission, rectification**, etc., which were not available in Common Law Courts.

#### **4. Conflict between Common Law and Equity:**

- During the 16th and 17th centuries, conflicts arose between the **Courts of Common Law** and the **Court of Chancery**.
- Common Law judges believed that Equity interfered with their jurisdiction, whereas the Chancery felt that Common Law was too rigid.

#### **5. The Earl of Oxford's Case (1615):**

- This case resolved the long conflict between Common Law and Equity.
- **Held:** *When there is a conflict between Common Law and Equity, Equity shall prevail.*
- This established the **supremacy of Equity** over Common Law.

#### **6. Fusion of Common Law and Equity:**

- The **Judicature Acts of 1873–1875** in England formally **merged the administration of Common Law and Equity**.
- After these Acts, both systems were administered by the same courts, though their **principles remained distinct**.
- Now, a single court could apply both **legal and equitable remedies**.

### **Important Features of Equity**

- **Equity supplements but does not supplant the law.**  
It provides justice in cases where the law is silent or defective.

- **Equity acts in personam**, meaning it operates against the person rather than against the property.
- It introduced flexible remedies like injunctions, specific performance, and rectification.
- It is based on **principles of conscience, fairness, and justice** rather than mere legal technicalities.

### Contribution of Equity to Modern Legal System

- Equity contributed significantly to the **development of modern English law** by introducing **moral principles and equitable remedies**.
- Many modern legal concepts such as **Trusts, Injunctions, Mortgages, and Equitable Estoppel** originated in the Court of Chancery.
- Even today, the **Indian legal system** recognizes equitable principles through statutes like the **Specific Relief Act, 1963**, and **Indian Trusts Act, 1882**.

### Important Case Law

#### Earl of Oxford's Case (1615)

- **Facts:** A conflict arose between Common Law and Equity decisions regarding the same matter.
- **Held:** The Court decided that *where there is a conflict between Common Law and Equity, Equity shall prevail*.
- **Significance:** Established the supremacy of Equity and became a cornerstone for later legal development.

### Conclusion

The **origin and growth of Equity in England** was a natural response to the **defects of Common Law**.

Equity emerged as a system that **softened the harshness** of law and introduced **moral fairness** in the administration of justice. Though the **Judicature Acts** fused the administration of both systems, **the principles of Equity remain distinct**, continuing to guide modern legal reasoning and ensuring that **justice prevails over rigidity**.

### Fusion of Common Law and Equity Jurisdiction

#### Introduction

The *fusion of Common Law and Equity* represents one of the most important reforms in the English legal system.

Before this fusion, there were **two separate systems of law** —

1. **Common Law**, administered by Common Law Courts, and
2. **Equity**, administered by the Court of Chancery.

These two systems developed independently and often **came into conflict** with each other, leading to confusion and injustice. The process of **fusion** was meant to **unify their administration**, so that one court could apply both legal and equitable principles together.

#### Background: The Need for Fusion

1. **Rigidity of Common Law:**
  - Common Law was very strict and technical.
  - It provided only limited remedies (mainly monetary damages).
  - Many genuine grievances could not be redressed through Common Law.
2. **Rise of Equity:**
  - To overcome the harshness of Common Law, people began appealing to the **King** and later to the **Lord Chancellor**, who decided matters based on **fairness, good conscience, and justice**.
  - This gave birth to **Equity** and the **Court of Chancery**.

### 3. Conflicts between Courts:

- Often, both the **Common Law Courts** and the **Court of Chancery** gave **opposite judgments** on the same matter.
- This created confusion as both courts had equal authority.

#### Example:

In some cases, the Common Law Court ordered a person to deliver property, while the Chancery Court issued an injunction restraining him from doing so.

### 4. Resolution – Earl of Oxford’s Case (1615):

- This case settled the conflict between the two systems.
- **Held:** *When Common Law and Equity conflict, Equity shall prevail.*
- This case established the **supremacy of Equity** but did not unify the systems.

Thus, even after this case, the two systems continued to exist **side by side**, but separately.

A person often had to approach **two different courts** for complete justice — one for legal rights, another for equitable remedies.

This led to **delay, expense, and inconvenience**, creating a strong demand for **fusion**.

### The Judicature Acts of 1873–1875

The final and most significant reform came through the **Judicature Acts of 1873 and 1875**, passed by the British Parliament.

#### Main Objectives of the Acts

1. To **unify the administration** of Common Law and Equity.
2. To ensure that **one court** could administer **both systems of law and equity**.
3. To make the procedure of justice **simple, efficient, and inexpensive**.

#### Main Provisions of the Acts

##### 1. Establishment of the Supreme Court of Judicature:

- The Acts established a **Supreme Court of Judicature**, which consisted of:
  - **High Court of Justice**, and
  - **Court of Appeal**.
- The High Court replaced all earlier courts, including Common Law Courts and the Court of Chancery.

##### 2. Concurrent Administration of Law and Equity:

- The new unified court could apply **both Common Law and Equity rules** in the same proceeding.
- A litigant no longer had to approach different courts.

##### 3. Supremacy of Equity Maintained:

- Section 25(11) of the **Judicature Act, 1873** clearly stated:  
*“Where there is a conflict between the rules of Equity and the rules of Common Law, the rules of Equity shall prevail.”*

##### 4. Unified Procedure and Remedies:

- Both **legal** (e.g., damages) and **equitable** (e.g., injunction, specific performance) remedies could now be granted by the same court.
- This ensured complete justice in a single proceeding.

## Effects of Fusion

### 1. Procedural Fusion:

- The Acts unified the **procedure** of Common Law and Equity.
- Litigants could obtain all remedies from one court.

### 2. Substantive Principles Remain Separate:

- The **principles of Common Law and Equity were not merged**.
- The fusion was **administrative and procedural**, not theoretical.
- Courts still apply equitable principles where appropriate.

### 3. End of Jurisdictional Conflict:

- The long-standing conflict between the two systems was finally removed.
- The Supreme Court now applied both systems harmoniously.

### 4. Foundation for Modern Legal System:

- The fusion laid the foundation for the **modern English and Indian judicial systems**, where both legal and equitable principles are applied together for complete justice.

## Case Laws Illustrating Fusion

### 1. Earl of Oxford's Case (1615) –

*Equity prevails over Common Law in case of conflict.*

### 2. Walsh v. Lonsdale (1882) –

- After the Judicature Acts, the Court of Appeal held that there are **not two separate systems of law and equity**, but **one system administered by the same court**.
- The case shows the **practical working of the fusion**.

## Position in India

In India, there was **never a separate system** of Equity and Common Law as in England.

However, **Indian courts apply equitable principles** along with statutory law.

These principles are reflected in:

- **The Indian Trusts Act, 1882**
- **The Specific Relief Act, 1963**
- **The Indian Contract Act, 1872**
- **The Transfer of Property Act, 1882**

For example:

- Specific performance and injunctions are equitable remedies under the **Specific Relief Act**.
- Doctrine of part performance (Section 53A, TPA) is also an equitable doctrine.

Thus, the **Indian legal system is already a fusion** of both Common Law and Equity, though the principles of each remain distinct.

## Conclusion

The **Fusion of Common Law and Equity** under the **Judicature Acts of 1873–1875** transformed the English legal system by ending jurisdictional conflicts and ensuring that **justice could be obtained in a single court**.

Although the two systems of law and equity retain their **separate principles**, their **administration is unified**, ensuring a more

flexible, fair, and efficient system of justice.

This fusion model later influenced the **Indian legal system**, which also applies both legal and equitable remedies together to secure complete justice.

## **Position of Equity under the Indian Legal System**

### **Introduction**

The Indian legal system, though inspired by the **English Common Law system**, has never had a **separate Court of Equity** like the English **Court of Chancery**.

However, the **principles of equity**, justice, and good conscience have always been an **integral part of Indian jurisprudence**.

Equity in India operates **not as a separate branch of law**, but as a **part of the general law**, supplementing statutory provisions wherever necessary to ensure **justice and fairness**.

### **Historical Background**

#### **1. During British Rule:**

- The English East India Company first introduced **English Common Law and equitable principles** into India.
- The **Charter of 1726**, establishing the Mayor's Courts at Calcutta, Bombay, and Madras, directed these courts to decide disputes based on "**justice, equity and good conscience**" when there was no specific law applicable.
- Later, the **Supreme Courts (established in 1774 at Calcutta and later at Madras & Bombay)** applied English law, including equitable doctrines.

#### **2. After the Indian High Courts Act, 1861:**

- The Act established **High Courts** in the Presidency towns, which combined **both Common Law and Equity jurisdictions**.
- Thus, India **never experienced the conflict** that existed in England between Common Law and Equity Courts.
- Both systems were unified from the beginning.

### **Meaning of "Justice, Equity and Good Conscience"**

The phrase "**Justice, Equity and Good Conscience**" is the **foundation of equity in India**.

It means that when no specific rule of law exists, the court should decide the matter according to the principles of **fairness, reasonableness, and moral justice**.

This concept became the **guiding principle for Indian judges**, especially in cases where statutory law was silent or ambiguous.

### **Recognition of Equity in Indian Statutes**

Several Indian legislations directly incorporate or are based on **equitable principles**.

Here are the main examples:

#### **1. The Indian Trusts Act, 1882**

- Entirely based on **equitable doctrines** developed by the English Court of Chancery.
- It recognizes duties of trustees, rights of beneficiaries, and the principle that "*he who seeks equity must do equity.*"

#### **2. The Specific Relief Act, 1963**

- Provides **equitable remedies** such as specific performance, injunction, and rectification.
- These are remedies developed by the Court of Equity in England.

#### **3. The Indian Contract Act, 1872**

- Recognizes principles like **unconscionable contracts, undue influence, fraud, and misrepresentation**, all of which are rooted in equitable notions of fairness.

#### 4. The Transfer of Property Act, 1882

- Contains several equitable doctrines such as:
  - **Doctrine of part performance (Section 53A)**
  - **Doctrine of election (Section 35)**
  - **Doctrine of notice (Section 3)**

#### 5. The Civil Procedure Code, 1908 (Section 151)

- Recognizes the **inherent powers of the court** to do justice and prevent abuse of process — an equitable power.

#### 6. The Indian Penal Code, 1860 and Criminal Procedure Code, 1973

- Though primarily legal in nature, equitable considerations often influence **sentencing and discretionary powers** of courts.

### Judicial Recognition of Equity in India

Indian courts have consistently upheld and applied **equitable principles** even in the absence of statutory provisions. Some leading cases include:

#### 1. Gurunath v. Kamlabai (AIR 1955 SC 206)

**Held:** Where there is no statutory provision, courts may apply **principles of equity, justice, and good conscience**, provided they are not inconsistent with Indian law.

#### 2. Motilal Padampat Sugar Mills Co. Ltd. v. State of Uttar Pradesh (AIR 1979 SC 621)

**Held:** Doctrine of **Promissory Estoppel**, an equitable principle, is enforceable in India.

If a person makes a promise and another acts upon it, the promisor cannot go back on his word even without formal consideration.

#### 3. Kedar Lal Seal v. Hari Lal Seal (1952 SCR 179)

**Held:** Even when law does not provide a specific remedy, courts can grant **equitable reliefs** like injunctions to prevent injustice.

#### 4. Central Inland Water Transport Corporation Ltd. v. Brojo Nath Ganguly (AIR 1986 SC 1571)

**Held:** A contract clause that is **unconscionable or unfair** can be struck down by the court as opposed to **equity and good conscience**.

### Equity and Indian Constitution

The **Constitution of India** itself is deeply rooted in **equitable principles**:

#### 1. Preamble:

- Guarantees **justice – social, economic and political**, which embodies the spirit of equity.

#### 2. Article 14 (Right to Equality):

- Reflects the **equitable concept of fairness** — “equals should be treated equally.”

#### 3. Article 142:

- Empowers the **Supreme Court** to pass any order necessary for **complete justice** — a clear reflection of equitable jurisdiction.

#### 4. Directive Principles of State Policy (Part IV):

- Designed to achieve **social and economic equity**.

Thus, equity is not only a part of **ordinary law**, but also deeply embedded in **constitutional philosophy**.

### Key Differences from English System

| Basis                        | England                                                | India                                                 |
|------------------------------|--------------------------------------------------------|-------------------------------------------------------|
| Existence of Separate Courts | Separate Courts of Common Law and Chancery before 1875 | No separate courts; unified system from the beginning |
| Basis of Equity              | Derived from Lord Chancellor's conscience              | Derived from "Justice, Equity, and Good Conscience"   |
| Nature of Fusion             | Administrative and procedural (Judicature Acts)        | Substantive and natural (built into Indian system)    |
| Application                  | Applied when Common Law failed                         | Applied along with statutory law and morality         |

### Conclusion

The **Position of Equity in India** is unique.

Unlike England, India **never had a dual system** of Common Law and Equity.

From the earliest times, Indian courts have applied **both legal and equitable principles together** to secure justice.

Equity in India acts as a **moral supplement to law**, ensuring that justice is done not merely according to the letter of law, but according to its **spirit and conscience**.

The guiding rule remains —

"Where there is a conflict between strict law and equity, equity shall prevail, provided it does not contradict statutory provisions."

### Maxims of Equity

➤ Maxim 1: "Equity will not suffer a wrong to be without a remedy"

#### Meaning

This maxim means that **whenever there is a legal wrong, equity will provide a remedy** even if the Common Law provides none.

It is expressed in Latin as **"Ubi jus ibi remedium"** —

*Where there is a right, there is a remedy.*

Equity does not allow any wrong or injustice to exist without offering relief.

It ensures that **every violation of a right is capable of being redressed** through some appropriate equitable remedy.

#### Explanation

In early English law, the **Common Law Courts** were bound by rigid rules and forms of action.

If a case did not fit within a particular legal form, the court could not grant any relief, **even if injustice was clearly done**.

To cure such defects, the **Court of Chancery** developed this equitable principle — that **no wrong should go unremedied merely because no legal remedy existed**.

Equity, therefore, created new remedies such as:

- **Injunction** (to restrain wrongful acts)
- **Specific Performance** (to compel the doing of a promised act)
- **Rectification or Cancellation of Documents** (to correct or nullify instruments made under mistake or fraud)
- **Rescission of Contracts** (to undo unjust agreements)

Thus, equity **expanded the scope of justice** by recognizing moral and ethical wrongs and granting appropriate relief.

### Illustration

- Suppose A agrees to sell a rare painting to B, but later refuses to deliver it.
  - Common Law could only award damages, but this may not compensate B because the painting is unique.
  - **Equity will grant specific performance**, compelling A to deliver the painting.
- If a person uses another's land unlawfully but causes no measurable loss, **Common Law gives no remedy**, but **Equity grants an injunction** to prevent the continuation of wrongful use.

### Case Laws

#### 1. Ashby v. White (1703) 2 Ld Raym 938

**Facts:** A qualified voter was wrongfully prevented by a returning officer from voting in an election. There was no direct damage proven, but his legal right to vote was violated.

**Held:** "If the plaintiff has a right, he must have a means to vindicate it, and a remedy if he is injured."

This case firmly established the principle *ubi jus ibi remedium*.

#### 2. Injunction Cases (England)

In many cases, where Common Law could not stop a continuing wrong, Equity granted **injunctions** to prevent irreparable harm — for instance, stopping construction on disputed land, or preventing breach of confidence.

#### 3. Indian Case: Dhian Singh Sobha Singh v. Union of India (AIR 1958 SC 274)

**Held:** The Supreme Court observed that the maxim *ubi jus ibi remedium* applies whenever there is a **violation of a legal right**, even if **no specific statutory remedy** is mentioned. Courts may fashion appropriate relief to ensure justice.

#### 4. Indian Case: Smt. Somawanti v. State of Punjab (AIR 1963 SC 151)

**Held:** The Court reiterated that **where the law recognizes a right, the courts must provide a remedy** to enforce it. A right without a remedy would be meaningless.

### Application in Indian Legal System

Indian law follows this maxim through several mechanisms:

1. **Article 32 and Article 226 of the Constitution:**
  - Provide remedies for the enforcement of Fundamental Rights and legal rights.
  - The Constitution itself recognizes that **where there is a right, there must be a remedy**.
2. **Specific Relief Act, 1963:**
  - Provides equitable remedies like injunctions and specific performance when damages are inadequate.
3. **Civil Procedure Code, Section 151:**
  - Grants courts **inherent powers** to act in the interest of justice where the Code is silent.

Thus, Indian law fully embraces this equitable maxim as a **cornerstone of justice**.

### Limitations of the Maxim

While the principle is broad, it is **not absolute**.

There are situations where **equity will not grant relief**, such as:

1. **Moral or Political Wrongs:**

- If a wrong is merely moral or political (not legal), no equitable remedy is available.
- Example: breach of promise to marry, loss of friendship, etc.

## 2. **Absence of Legal Right:**

- Equity acts only when a legal or equitable right exists; it cannot create a right out of nothing.

## 3. **Public Policy Considerations:**

- Equity may refuse a remedy if it goes against public policy or statutory provisions.

## **Significance**

- This maxim forms the **foundation of equitable jurisdiction**.
- It ensures that **justice prevails even when law is silent or inadequate**.
- It represents the **moral duty of the court** to provide redress wherever a wrong is committed.
- It has greatly influenced **modern remedies**, including **constitutional remedies** in India.

## **Conclusion**

The maxim **“Equity will not suffer a wrong to be without a remedy”** lies at the heart of equitable justice. It represents the **creative power of equity** to fill the gaps of law and to ensure that no person suffers injustice merely because the legal system lacks a technical provision.

In both **England and India**, this principle has been the **driving force behind the development of new remedies**, ensuring that law remains a living instrument of justice rather than a rigid code of rules.

## ➤ **Maxim 2: “Equity Follows the Law”**

## **Meaning**

This maxim means that **Equity respects, observes, and follows the rules of law**, and does not override or contradict them. It implies that **Equity supplements the law but does not supplant it**.

In other words —

Equity begins where the law ends, but it does not oppose the law.

Equity was introduced to **fill the gaps** in Common Law, not to **destroy or replace** it.

Thus, whenever the law provides a clear rule, **Equity follows that rule**; only when the law is silent or defective, equity steps in to ensure fairness.

## **Explanation**

The Court of Chancery, from its earliest days, maintained deep respect for the rules of Common Law.

Equity was developed to **mitigate the harshness** of Common Law, not to act **independently of it**.

Hence, equitable jurisdiction was always **subordinate and supplementary** — it came into play **only when Common Law was inadequate** to do justice.

Lord Chancellor Ellesmere once remarked:

“Equity does not destroy the law, nor create it, but assists it.”

This shows that Equity acts **in harmony with the law**, not in opposition.

## **Illustrations**

### 1. **Where law provides a clear right or rule**, equity will follow it.

- Example: If a legal statute says that property must be transferred by a written deed, equity cannot allow a transfer by mere word of mouth.

2. **Where law is silent**, equity will act to do justice.

- Example: When there is a contract for sale of a unique property, law gives damages, but equity can order **specific performance**.

3. **Where law creates a disability**, equity will not remove it.

- Example: If a minor enters into a contract, equity will not enforce it, since the law declares it void.

### Development of the Maxim

The Court of Chancery, though a separate institution, never intended to set up a **rival system** of justice.

It only aimed to **correct** the strictness of Common Law and **fill its gaps**.

This principle became particularly important after the **Judicature Acts of 1873–1875**, when Common Law and Equity were **fused procedurally**, but their **principles remained distinct**.

Courts were instructed to apply both sets of principles harmoniously — *where both apply, equity prevails; but where law is clear, equity follows it*.

### Case Laws

#### 1. Re Hallett's Estate (1880) 13 Ch D 696

**Facts:** A trustee misappropriated trust funds and mixed them with his own money in a bank account. The issue was how to trace the beneficiary's money.

**Held:** The Court held that **equity will follow the law** in recognizing property rights, but will also impose **equitable remedies** (like constructive trusts) to protect the innocent.

It reaffirmed that **equity supplements law**, not contradicts it.

#### 2. Cowper v. Cowper (1734) 2 P Wms 720

**Held:** "Equity is not to act against the express rules of law."

This is a direct authority for this maxim.

#### 3. Indian Case: CIT v. Smt. Indira Balkrishna (AIR 1960 SC 1172)

**Held:** The Supreme Court stated that **equity cannot override statutory provisions**.

If a law specifically provides a rule, the court cannot ignore it in the name of equity.

#### 4. Indian Case: Union of India v. Shree Ram Bohra (AIR 1965 SC 1531)

**Held:** Equity follows the law and cannot be used to defeat clear legal rights or statutory provisions.

The court must apply equitable principles only when **law is silent or ambiguous**.

### Application of the Maxim in Indian Legal System

In India, courts often invoke this maxim when applying equitable principles:

#### 1. Statutory Supremacy:

- Equity cannot override the clear language of a statute.
- Example: If a law provides limitation for a suit, equity cannot extend it on moral grounds.

#### 2. Equitable Construction of Law:

- When law is ambiguous, courts interpret it **in light of equity and good conscience**.

#### 3. Supplementary Role:

- Indian laws like the **Specific Relief Act, 1963** and **Indian Trusts Act, 1882** embody equitable principles that function **alongside statutory rules**.

#### 4. Constitutional Equity:

- The Supreme Court under **Article 142** can grant complete justice — this power is equitable but must **not contradict any law**.

### Limitations of the Maxim

#### 1. Equity cannot override statute:

- If Parliament has made a law, even if it seems harsh, courts must obey it.
- *Dura lex sed lex* — The law may be hard, but it is the law.

#### 2. Equity acts only where law is deficient or silent:

- It cannot create new rights or ignore established ones.

#### 3. Equity respects vested legal rights:

- For example, if property is legally transferred, equity cannot interfere merely on moral grounds.

### Significance of the Maxim

- This maxim ensures **harmony between law and equity**.
- Prevents equity from becoming **arbitrary or subjective**.
- Keeps **judicial discretion** within proper limits.
- Ensures **certainty, uniformity, and stability** in the legal system.
- Balances **legal authority with moral fairness**.

### Conclusion

The maxim **“Equity follows the law”** establishes that equity is **not superior to law**, but its **faithful companion**.

Equity intervenes **only when law is silent or rigid**, and always with **respect for legal rules**.

In both **English and Indian law**, this principle safeguards against judicial arbitrariness and ensures that **justice remains guided by law, not sentiment**.

Equity thus **complements law**, ensuring that the legal system delivers justice that is not only lawful but also **fair and humane**.

➤ **Maxim 3: “Where Equities Are Equal, the Law Shall Prevail”**

### Meaning

This maxim means that **when two parties have equal equitable rights**, the court will favor the party who has **a legal title or legal possession**.

Equity always acts to **supplement** the law, not to **override** it.

Therefore, when both parties stand in equal fairness — that is, neither has done anything wrong or unjust — the **law will take its course**, and the person who has the **legal advantage** will be preferred.

In simple words:

“If two parties are equally innocent, the one with a legal right wins.”

### Explanation

This maxim emphasizes the **respect of equity towards law**.

When both parties are equally meritorious or blameless in the eyes of equity, the court will not interfere to disturb the **existing legal right or title**.

If, however, one party has a **stronger equitable claim** (for example, has acted in good faith, has relied on a promise, etc.), then the court may step in to favor that party.

But if **both stand equally in equity**, then the **law prevails**, and the **legal owner or possessor** retains the benefit.

## Example

1. **A** holds legal ownership of a property, but **B** claims an equitable interest (say, through an informal promise).
  - If **B's** equitable claim is equal to **A's** in fairness, **A** will succeed because **he holds the legal title**.
2. **Two equitable mortgages** are created on the same property — one in January and one in March — both without any fraud or negligence.
  - The one created **first in time** (January) will prevail, because the equities are equal but **time gives priority** (this leads to our next maxim).

## Judicial Interpretation

Courts have repeatedly held that equity cannot ignore legal ownership when both parties are on an equal moral footing. It would be unjust to deprive a lawful owner of their property when the other party's claim is **merely equitable** and **no stronger in justice**.

## Case Laws

### 1. Stump v. Gaby (1852) 2 De G M & G 623

**Facts:** A person (Stump) had the legal estate of property, while another (Gaby) claimed an equitable right through a defective instrument.

**Held:** The Court held that since both parties were equally innocent and there was no fraud, the **legal owner (Stump)** should prevail.

**Reason:** Where equities are equal, the law shall prevail.

### 2. Pilcher v. Rawlins (1872) LR 7 Ch App 259

**Facts:** A trustee sold property fraudulently to a third person who bought it **in good faith**, paying full value and **without notice** of the trust.

**Held:** The purchaser's **legal title** was upheld.

The Court of Appeal ruled that equity cannot destroy a **bona fide purchaser's legal title** who has no notice of prior equitable rights.

This case established the famous rule:

"A bona fide purchaser for value without notice is protected in equity."

This rule is actually an **application** of this maxim.

### 3. Rice v. Rice (1853) 2 Drew 73

**Held:** Where two parties have equal equitable interests, the one with the **legal estate** or **earlier right in time** will succeed. Equity does not assist one person against another who has an equal claim in fairness but a stronger claim in law.

### 4. Indian Case: State of U.P. v. District Judge, AIR 1997 SC 53

**Held:** The Supreme Court observed that when both parties claim fairness or equity, **the court must uphold the legal right** unless there are compelling equitable reasons to do otherwise.

## Application of the Maxim

### (1) Preference for Legal Ownership

When the equities are equal, **legal ownership or possession** will prevail.

- Example: If both parties are innocent, but one has registered ownership, equity will not take it away.

### (2) Protection of Bona Fide Purchaser

A **bona fide purchaser for value without notice** is protected both in law and in equity.

- Such a purchaser acquires good title even if the seller had only an equitable ownership, because equity will not punish an innocent buyer.

### (3) Equal Fault, Equal Loss

If both parties are equally innocent or negligent, the law will not interfere to disturb the existing legal situation.

### (4) Relation with Other Maxims

This maxim is closely connected with:

- **“Equity follows the law”** (Equity respects legal rights)
- **“Where equities are equal, the first in time shall prevail”** (priority based on time when equities are equal)

### Limitations of the Maxim

1. If equities are **not equal**, law will not automatically prevail.
  - The court will prefer the **more meritorious** or **innocent** party.
2. If legal owner acted in **bad faith**, he will lose equitable protection.
  - Example: Legal owner with knowledge of prior equitable interest cannot rely on this maxim.
3. **Applies only when both parties are equally innocent**, not when one is at fault.

### Significance of the Maxim

- It preserves **stability** of legal ownership and property titles.
- Prevents **equity from being arbitrary** or overreaching.
- Encourages parties to act **diligently and lawfully**.
- Balances **fairness and legal certainty**.
- Reinforces the idea that **law is the foundation** and **equity is a supplement**.

### Conclusion

The maxim **“Where equities are equal, the law shall prevail”** highlights that equity does not destroy the law but **respects and supports it**.

When both parties are equally fair, the one with **legal title or advantage** must succeed.

It ensures that **legal rights are not disturbed unnecessarily** and maintains **balance and harmony** between **law and equity**.

Thus, the court, while applying equity, remains guided by the rule of law, ensuring that justice is done within the framework of legality and fairness.

### ➤ **Maxim 4: “Where Equities Are Equal, the First in Time Shall Prevail”**

### Meaning

This maxim means that **when two persons have equal equitable rights** over the same property or subject matter, **the one whose equity was created first in time has the better claim**.

In simple terms:

“If two persons are equally fair, then the one who comes first in time will be preferred.”

This maxim is based on the **principle of priority** — that **equitable interests are ranked according to the order in which they were created**.

### Explanation

Equity, as a system of justice, recognizes that **time gives priority**.

If there are **two competing equitable interests** and both are equally valid, **the earlier interest will prevail** over the later one.

This prevents confusion, fraud, and injustice by ensuring that people who acquire equitable interests later cannot displace the rights of those who already possess them.

Example:

If *A* is given an equitable mortgage on 1st January, and *B* is given another equitable mortgage on the same property on 1st March —

Both are innocent, but *A*'s right arose first.

Hence, ***A*'s equity will prevail**.

### Rationale Behind the Maxim

1. **Equity Respects Priority of Time:**

It maintains order and fairness — the first in time should not be defeated by someone who came later.

2. **Avoids Uncertainty:**

It ensures predictable outcomes, preventing later claimants from disturbing earlier equitable interests.

3. **Encourages Diligence:**

Later purchasers or mortgagees are expected to **inquire** about earlier rights before acquiring property.

### Illustration

Suppose:

- On **1st January**, *A* agrees to sell land to *B*.
- On **1st March**, *A* agrees to sell the same land to *C*, who has **no knowledge** of *B*'s contract.

Here:

- *B* has the **first equitable right** (under the contract of sale).
- *C* has a **later equitable right**.

According to this maxim —

“Between equal equities, the first in time shall prevail,”

therefore, ***B*'s equitable interest prevails over *C*'s**, even if *C* acted in good faith.

### Case Laws

1. **Rice v. Rice (1853) 2 Drew 73**

**Facts:** Two mortgages were created on the same property — one earlier, one later.

Both mortgagees acted honestly and without fraud.

**Held:** The Court ruled that **the first mortgage** (earlier in time) would prevail.

“When the equities are equal, the first in time shall prevail.”

This case is the *leading authority* on this maxim.

2. **Dearle v. Hall (1828) 3 Russ 1**

**Facts:** Two equitable assignments were made of the same fund.

The first assignee failed to give notice to the trustee, while the second assignee later gave notice.

**Held:** The Court ruled in favor of the **second assignee** because he gave notice first.

However, this decision introduced an *exception* to the maxim — the **rule of notice**.

**Principle:**

Between competing equitable interests, the one who gives notice to the trustee first may prevail.

This case is important because it shows **that mere priority in time is not absolute** — it can be displaced by **negligence** or **failure to notify**.

### 3. Heid v. Reliance Finance Corporation (1983) 154 CLR 326

**Held:** Reaffirmed that **priority in time** governs competing equitable rights, unless the later claimant has **better equity** due to conduct or negligence of the first claimant.

### 4. Indian Case: Govindammal v. Gopalachari (AIR 1959 Mad 18)

**Held:** The Madras High Court held that when two parties have equitable interests in the same property, the one whose right arose earlier in time will prevail, **unless there is fraud or negligence**.

## Application of the Maxim

### (1) Priority Among Equitable Interests

When two or more equitable interests conflict:

- The first created in time will prevail.
- Later equitable interests are **subject to earlier ones**.

### (2) Mortgages and Charges

If a person creates two equitable mortgages over the same property:

- The earlier mortgage has **priority in equity**.
- The later mortgagee must take subject to it.

### (3) Equitable Assignments

If a fund or debt is assigned twice, the first assignment will prevail **if notice is given promptly**.

### (4) Relation with Bona Fide Purchaser Rule

This maxim does **not** apply against a **bona fide purchaser for value without notice**, who acquires **legal title** — because he has a superior equity (protected by law).

## Exceptions to the Maxim

#### 1. Negligence or Fraud by First Equitable Owner

If the first owner's negligence enables another to acquire an interest, the later interest may prevail.

*Example:* Failure to give notice, concealment, or allowing duplicate deeds.

#### 2. Bona Fide Purchaser for Value Without Notice

A purchaser who buys property **for value, in good faith**, and **without notice** of prior equitable rights will prevail — even if his right arose later.

#### 3. Rule of Notice (Dearle v. Hall)

If the first assignee fails to give notice, and the second assignee gives notice earlier, the second may succeed.

#### 4. Statutory Provisions

Modern registration laws (like the Transfer of Property Act and Registration Act in India) may override this equitable rule.

## Importance of the Maxim

- It ensures **consistency and order** in property transactions.
- Encourages **early registration and notice** of equitable interests.
- Prevents **fraud and uncertainty**.

- Maintains **fair balance** between equity and law.
- Upholds **priority based on fairness and time**.

### Relationship with Other Maxims

- **“Where equities are equal, the law shall prevail”** → preference to legal right.
- **“Where equities are equal, the first in time shall prevail”** → preference between equitable rights.

Hence:

When a legal right conflicts with an equitable right → **Law prevails**.

When two equitable rights conflict → **The earlier in time prevails**.

### Conclusion

The maxim **“Where equities are equal, the first in time shall prevail”** is a cornerstone of equitable priority. It ensures that the **earlier equitable claimant** is protected against later claimants of equal fairness.

Equity thus rewards **diligence and good faith** and discourages delay or negligence.

This principle promotes **certainty, justice, and moral order** in both English and Indian property law.

### Summary Thought:

“Equity respects priority — first come, first served, if all else is equal.”

➤ **Maxim 5: “He Who Seeks Equity Must Do Equity”**

### Meaning

This maxim means that **a person who asks for equitable relief must be willing to act equitably himself**.

In other words, one who comes before the court to claim an equitable remedy must be prepared to **do fairness and justice** towards the other party.

“He who asks for equity must be ready to give equity.”

Equity works on **conscience** — and therefore, the court expects that the person seeking its aid should **act with fairness, honesty, and good faith**.

If a person is unwilling to fulfill his own equitable obligations, **the court will deny him equitable relief**.

### Explanation

Equity is a system of justice founded on **moral principles**.

It is not like common law that mechanically applies rules — it judges according to **good conscience**.

Thus, if a plaintiff wants equitable relief such as **specific performance, injunction, or rectification**, he must himself act in an **equitable manner**.

Equity insists on **reciprocity** — you cannot demand fairness while behaving unfairly.

The court says, “If you want justice from me, you must also do justice.”

### Illustration

#### 1. Mortgage Redemption Example

- A mortgagor (borrower) wants to redeem his property from the mortgagee.
- Equity says: he must first **repay the debt** and interest — then only can he demand redemption.
- Thus, *“He who seeks equity must do equity.”*

#### 2. Specific Performance Example

- If a buyer asks the court to compel the seller to transfer land (specific performance), the buyer must show that he himself was **ready and willing to perform his part** (such as payment).

- Otherwise, equity will deny the relief.

### 3. Tenant Relief Example

- A tenant who seeks protection under equity (say, against eviction) must **pay arrears of rent** before asking the court for help.

### Objective of the Maxim

The object of this maxim is to **ensure fairness and good conscience** on both sides.

It prevents people from taking **unfair advantage** of equitable remedies.

Equitable jurisdiction is not meant to help **dishonest or unfair claimants** — the plaintiff must have **clean hands** and must be willing to **do what is just**.

### Case Laws

#### 1. Lodge v. National Union Investment Co. (1907) 1 Ch 300

**Facts:** The plaintiff sought to set aside a money-lending transaction on the ground that it was usurious (unfairly high interest).

**Held:** The Court held that the plaintiff must repay the **principal sum actually borrowed** before obtaining equitable relief to cancel the unfair interest rate.

Thus, “He who seeks equity must do equity.”

#### 2. Chappell v. Times Newspapers Ltd. (1975) 1 WLR 482

**Held:** An employee seeking equitable injunction must also perform his own duties in good faith. The court will not help a person who wants equity but refuses to fulfill his reciprocal obligations.

#### 3. R. v. Oxford (1857) 6 HL Cas 197

**Held:** A person who sought equitable relief against an unjust agreement was required by the court to restore whatever benefit he had received from that agreement. Equity demanded mutual fairness.

#### 4. Indian Case: K.S. Vidyanadam v. Vairavan (AIR 1997 SC 1751)

**Facts:** The plaintiff sought **specific performance** of a contract but had not shown readiness and willingness to perform his part of the contract.

**Held:** The Supreme Court refused equitable relief, holding that one who seeks equity must do equity — “The plaintiff must show that he has acted fairly and diligently.”

#### 5. Indian Case: Moti Lal Jain v. Ramdasi Devi (AIR 2000 SC 2402)

**Held:** Equitable remedies like specific performance or injunction are discretionary. If the plaintiff himself has not acted equitably, the court will refuse relief.

### Application of the Maxim

#### (1) In Mortgage Cases

- A mortgagor seeking to redeem property must first **repay the mortgage money**.
- He cannot demand the property back without doing equity himself.

#### (2) In Specific Performance

- The plaintiff must prove he was **ready and willing** to perform his obligations under the contract.
- This is embodied in **Section 16(c) of the Specific Relief Act, 1963** (India).

#### (3) In Injunctions

- A person seeking an injunction must act fairly and not suppress material facts.
- If he does, the injunction will be refused.

#### (4) In Rescission and Rectification

- If a contract is to be rescinded or rectified, the plaintiff must **restore any benefits** he received under that contract.

#### (5) In Relief against Penalties

- When equity relieves against a penalty (e.g., forfeiture), it does so only if the plaintiff is ready to **make full compensation**.

#### Limitations of the Maxim

1. **Applies only when relief is discretionary** —  
It cannot defeat a legal right.  
Example: Legal right to property cannot be denied merely because of inequitable conduct.
2. **Not applied rigidly** —  
Courts may relax the rule where strict application would cause hardship.
3. **Does not justify unjust conduct** —  
Equity cannot be used to cover one's own wrongs.
4. **Limited to equitable remedies** —  
It applies to specific performance, injunction, rescission, etc., not to purely legal remedies like damages.

#### Relationship with Other Maxims

- Closely connected with:  
**"He who comes to equity must come with clean hands."**  
The first ensures that the plaintiff *acts equitably*;  
the second ensures he *behaves honestly*.

Together they form the moral foundation of equitable relief.

#### Significance

- Promotes **fair conduct** and **moral responsibility**.
- Prevents **unjust enrichment**.
- Ensures **mutual fairness** between parties.
- Encourages courts to administer **justice with conscience**.
- Keeps **equitable jurisdiction pure and principled**.

#### Conclusion

The maxim **"He who seeks equity must do equity"** embodies the principle of **reciprocity and fairness** in equitable jurisprudence.

It ensures that anyone claiming equity must also **act with fairness, honesty, and justice** towards others.

Courts of equity will not assist a person who demands justice but refuses to render it.

Thus, this maxim forms one of the **moral cornerstones** of equitable relief in both **English** and **Indian** law.

"Equity demands fairness from those who seek its aid —

To receive justice, you must do justice."

➤ **Maxim 6: "He Who Comes to Equity Must Come with Clean Hands"**

#### Meaning

This maxim means that a person who seeks the help of a court of equity must come with **clean hands**, i.e., **free from any wrongdoing, fraud, unfairness, or bad faith** in relation to the matter in dispute.

In simple words:

“A person cannot ask for justice if he himself has acted unjustly.”

Equity acts **on conscience**. Therefore, if a person’s conduct in the same transaction has been **unconscionable, dishonest, or unfair**, the court will **refuse to grant equitable relief**, even if he might otherwise have a legal right.

### Explanation

The Court of Chancery, from which equity developed, was known as the **court of conscience**.

Hence, the **moral character and conduct** of the plaintiff were always relevant.

If a plaintiff had acted **fraudulently, deceitfully, or oppressively**, the court would say:

“Your hands are dirty; you cannot ask for equity.”

This principle prevents **abuse of equitable jurisdiction** and ensures that equitable remedies are granted only to **honest and fair-minded persons**.

### Illustration

#### 1. Fraudulent Contract:

- If a person enters into a contract by **misrepresentation or concealment** and then seeks specific performance, the court will **deny relief** because his conduct was not clean.

#### 2. Unfair Advantage:

- If a tenant conceals material facts to get an injunction against eviction, the court will refuse relief — his hands are not clean.

#### 3. Illegal or Immoral Purpose:

- A person who participated in an illegal transaction (say, a fraudulent land deal) cannot later approach the court for equitable protection.

### Objective of the Maxim

This maxim serves to **preserve the moral integrity** of equity.

It ensures that **no one can benefit from his own wrong**, and that **justice must be earned through fair dealing**.

Equity does not reward the dishonest.

It helps only those whose own conduct is blameless in the matter they bring before the court.

### Case Laws

#### 1. Dering v. Earl of Winchelsea (1787) 1 Cox 318

**Facts:** The plaintiff sought contribution from a co-surety after having concealed material facts from him.

**Held:** The court denied relief, stating that he had not acted in good faith.

“He who comes to equity must come with clean hands.”

#### 2. Overton v. Banister (1844) 3 Hare 503

**Held:** The plaintiff, who had taken unfair advantage of a minor’s ignorance, was denied relief.

Equity will not assist anyone who has acted unfairly or immorally in the same transaction.

#### 3. Moody v. Cox (1917) 2 Ch 71

**Facts:** A buyer sought to rescind a contract, but it was shown that he himself had been dishonest during the negotiations.

**Held:** The Court refused equitable relief, observing that his own conduct had been tainted with fraud.

#### 4. Indian Case: S.P. Chengalvaraya Naidu v. Jagannath (AIR 1994 SC 853)

**Facts:** The plaintiff obtained a decree by suppressing material facts.

When this suppression was discovered, the defendant approached the court.

**Held:** The Supreme Court held that: "A person whose case is based on falsehood has no right to approach the court. He can be summarily thrown out at any stage."

This is one of the strongest Indian authorities for this maxim.

#### 5. Indian Case: Lily Thomas v. Union of India (AIR 2000 SC 1650)

**Held:** The Supreme Court reaffirmed that **a person approaching the court for equitable relief must come with clean hands, clean mind, and clean heart.**

Fraud, concealment, or dishonesty disqualifies a petitioner from equitable protection.

#### 6. Indian Case: Dalip Singh v. State of U.P. (2010) 2 SCC 114

**Held:** The Court lamented the growing trend of litigants approaching courts with falsehood and observed:

"Those who attempt to pollute the stream of justice or play fraud on the court must be denied relief."

#### Application of the Maxim

##### (1) In Specific Performance

A plaintiff seeking specific performance must show that he has **acted fairly and honestly** in the transaction.

If he has suppressed material facts or misled the other party, relief will be denied.

##### (2) In Injunctions

Injunction is a **discretionary remedy**.

If the plaintiff has been dishonest or suppressed facts, the injunction will not be granted.

##### (3) In Rescission or Rectification

A contract cannot be rescinded or rectified for the benefit of a person who himself caused or contributed to the mistake or misrepresentation.

##### (4) In Mortgage or Trust Cases

If a mortgagor or trustee acts fraudulently or in breach of duty, he cannot ask the court for equitable indulgence.

##### (5) In Constitutional or Public Interest Litigation (India)

Indian courts apply this maxim to ensure that petitioners in **PILs** or **writ petitions** approach the court with **clean motives** and not for personal or political gain.

#### Limitations of the Maxim

##### 1. Misconduct must relate to the same transaction:

- The unclean hands must concern the **subject matter** of the suit.
- Past misdeeds unrelated to the case will not bar relief.

##### 2. Not a rigid rule:

- The court may grant partial or conditional relief if denial would lead to greater injustice.

##### 3. Applies only to discretionary remedies:

- Legal rights like ownership or possession cannot be denied merely because of past unfair conduct.

##### 4. Clean hands doctrine cannot be used as a defense to avoid liability under clear legal obligations.

#### Relation with Other Maxims

- Closely related to “**He who seeks equity must do equity.**”
  - The first deals with **conduct before the court.**
  - The second deals with **actions towards the other party.**

Together, they form the **ethical backbone** of equitable jurisprudence.

### Significance

- Upholds **moral purity** of the court’s jurisdiction.
- Prevents misuse of equitable remedies by **dishonest litigants.**
- Promotes **truthfulness, integrity, and fairness** in litigation.
- Reinforces the idea that **justice must be earned with clean hands and pure motives.**
- Protects the **dignity of the court** by refusing to assist those who deceive it.

### Conclusion

The maxim “**He who comes to equity must come with clean hands**” embodies the **moral conscience** of equity. It ensures that equitable relief is available only to those who are **honest, fair, and transparent** in their dealings.

Equity will not aid a person whose conduct has been **tainted by fraud, deceit, or unfairness.**

Thus, the doctrine protects the sanctity of justice by ensuring that only those with **clean hands, clean heart, and clean mind** can claim equitable relief.



### Final Thought:

“Equity refuses to help the wrongdoer — the path to justice must be walked with clean hands.”

### ➤ Maxim 7: “Delay Defeats Equity”

### Meaning

The maxim “**Delay defeats equity**” (also expressed as “*Equity aids the vigilant and not those who slumber on their rights*”) means that a person who **sleeps over his rights** and comes to the court **after an unreasonable delay** will **not receive equitable relief.**

In simple terms:

“If you want equity, act quickly — don’t wait until it’s too late.”

Equity is intended to **help the diligent**, not those who neglect or ignore their rights for a long period without just cause.

### Explanation

Equitable remedies (like injunction, specific performance, rectification, rescission, etc.) are **discretionary** — they are not granted as a matter of right.

Hence, when a person delays taking action, it shows **lack of seriousness** or **bad faith**, and granting relief may cause **injustice to the other side.**

The underlying reasoning is:

- Time weakens evidence.
- People change their positions in reliance on circumstances.
- It becomes unfair to disturb settled affairs.

Therefore, **equity refuses to assist a person who has been indolent** in asserting his rights.

### Object of the Maxim

The object of this maxim is to ensure:

1. **Certainty and fairness** — disputes must be raised promptly.
2. **Prevention of stale claims** — courts should not reopen long-settled matters.
3. **Protection of the innocent party** who has relied upon the apparent inaction of the other side.

### Illustrations

1. **Example 1:**  
A agreed to sell land to B in 2015.  
B took no action for 8 years and approached the court in 2023 for **specific performance**.  
Since he slept on his rights for years, the court may refuse relief — *“Delay defeats equity.”*
2. **Example 2:**  
A tenant illegally occupies property after lease expiry.  
The landlord waits for many years before seeking injunction or possession.  
The court may say he delayed too long to claim equitable relief.
3. **Example 3:**  
A person finds out about fraud in 2016 but files a case only in 2025.  
Unless justified, such delay can bar equitable remedies even if limitation period hasn’t technically expired.

### Legal Principle

Equity always expects **reasonable promptness**.

There are **two forms** of delay that can bar equitable relief:

1. **Mere delay (simple laches):**
  - When the plaintiff is negligent in asserting his rights.
  - Relief may be refused if delay makes enforcement inequitable.
2. **Acquiescence:**
  - When the plaintiff, by his conduct, **encourages or allows** the defendant to believe that he will not enforce his rights, and the defendant acts on that belief.
  - This is stronger than mere delay; it implies **silent consent**.

### Case Laws (English and Indian)

#### 1. Lindsay Petroleum Co. v. Hurd (1874) LR 5 PC 221

**Facts:** Plaintiffs delayed in bringing action against directors for fraud.

**Held:** The Privy Council observed that:

“Delay becomes fatal when the plaintiff’s conduct amounts to waiver or when enforcement would be inequitable.”

This case laid down the foundation of **laches** (negligent delay) in equity.

#### 2. Erlanger v. New Sombrero Phosphate Co. (1878) 3 App Cas 1218

**Facts:** The plaintiff delayed seeking rescission of a contract after discovering fraud.

**Held:** The court refused rescission because of the **long delay** and **intervening third-party rights**.

Equity expects promptness in seeking relief once a person learns of a wrong.

#### 3. India: Mademsetty Satyanarayana v. G. Yelloji Rao (AIR 1965 SC 1405)

**Facts:** The plaintiff sought specific performance after 9 years of agreement.

**Held:** The Supreme Court held that although limitation law allows 3 years, **equitable relief may still be refused if the delay is unreasonable and causes injustice**.

“Equity does not assist a person who is guilty of laches.”

#### 4. India: State of Maharashtra v. Digambar (1995) 4 SCC 683

**Held:** The Supreme Court stated that **delay and laches** can bar relief even in constitutional remedies under **Article 226**.

“Those who sleep over their rights cannot be allowed to agitate stale claims in courts.”

#### 5. India: R.S. Maddanappa v. Chandramma (AIR 1965 SC 1812)

**Held:** Equitable remedies are **discretionary**, and long inaction on the part of the plaintiff can make the court refuse relief.

#### 6. India: Shiv Dass v. Union of India (2007) 9 SCC 274

**Held:** In a service matter, a retired officer claimed arrears after 24 years.

The Court dismissed the case observing:

“Delay defeats equity. A person cannot be allowed to wake up from slumber after decades and seek relief.”

### Application of the Maxim

#### 1. In Specific Performance

- Specific performance is a *discretionary equitable relief*.
- Unreasonable delay, even within limitation, can lead to refusal.

#### 2. In Injunction

- Courts often deny injunctions where the plaintiff delayed asserting his right, especially if defendant’s position has changed.

#### 3. In Rescission

- A party cannot seek rescission of a contract long after the other party has altered his position or third-party rights have intervened.

#### 4. In Administrative or Writ Proceedings

- Indian courts often apply this maxim while deciding **Article 32 and 226** petitions.
- Example: When an employee files a writ after years of retirement, the court may deny relief due to delay.

### Difference between Delay and Laches

| Basis     | Delay                                       | Laches                                                                     |
|-----------|---------------------------------------------|----------------------------------------------------------------------------|
| Meaning   | Mere passage of time in bringing an action. | Negligent and prejudicial delay implying waiver or acquiescence.           |
| Effect    | May not always bar relief.                  | Almost always bars equitable relief.                                       |
| Intention | No intentional abandonment.                 | Implies conscious inaction or consent.                                     |
| Example   | A files case after 2 years without reason.  | A, knowing his rights, keeps silent and lets B act on it, then sues later. |

### Justification for the Maxim

1. **Public Policy:**  
Courts must not reopen old, stale disputes.  
Society needs finality in transactions.
2. **Fairness:**  
Delay can harm the defendant who relied on the plaintiff’s inaction.
3. **Judicial Efficiency:**  
Timely action ensures fair evidence and prompt justice.

4. **Moral Reasoning:**  
Equity is conscience-based — negligence shows lack of genuine grievance.

### Exceptions to the Maxim

1. **Reasonable Cause for Delay:**
  - If the plaintiff provides valid reasons (illness, fraud discovered later, etc.), the court may still grant relief.
2. **Continuing Wrong:**
  - If the wrong continues daily (like nuisance or trespass), delay doesn't defeat equity.
3. **Fraud or Concealment by Defendant:**
  - If the defendant caused delay by hiding facts or misleading the plaintiff, equity will still assist.
4. **Public Interest Matters:**
  - In PILs or environmental issues, some delay may be excused if the matter affects public welfare.

### Relation with Other Maxims

- **“Equity aids the vigilant, not those who slumber on their rights.”**  
→ This is the broader expression of the same principle.
- **“He who comes to equity must come with clean hands.”**  
→ Delay shows *laziness*; unclean hands show *dishonesty*. Both bar relief.

### Significance of the Maxim

- Encourages **prompt action** in asserting rights.
- Prevents **injustice** caused by old claims.
- Protects **innocent parties** from prejudice.
- Upholds **moral and practical integrity** of the legal system.
- Ensures **equity serves the vigilant**, not the negligent.

### Conclusion

The maxim **“Delay defeats equity”** emphasizes that equitable relief is for those who act **promptly and diligently**. Equity refuses to aid the **indolent and careless**, since justice delayed by one's own fault is justice denied.

Thus, while law may tolerate some delay (through limitation statutes), **equity demands vigilance**.

A person who sleeps on his rights loses the moral claim to equitable relief.



### Final Thought:

“Time is the guardian of equity — those who neglect it, lose it.”

### ➤ **Maxim 8: “Equality Is Equity”**

### Meaning

The maxim **“Equality is equity”** means that when two or more persons have **equal rights or claims** in the same subject matter, **equity will treat them equally** — none shall have an unfair advantage over the other.

In simple words:

“When rights are equal, equity distributes benefits or burdens equally.”

Equity regards **fairness, balance, and impartiality** as the highest form of justice.

Hence, when it is impossible to decide who has a better claim, **equity prefers equality**.

### Explanation

Equity originated as a **system of conscience** — it seeks to do *justice according to fairness*, not according to rigid rules.

When the claims of the parties are:

- **Of equal merit**, and
- **There is no superior equity** (no stronger right),

then equity ensures **equal treatment** — whether it is in **distribution of property, liabilities, or rights**.

The idea is closely related to the **principle of natural justice**, which says:

“All persons should be treated alike unless there is a valid reason for distinction.”

### Philosophical Basis

This maxim reflects the moral foundation of equity —  
that **fairness lies in equality**, and **justice requires impartiality**.

In many situations where strict law gives no answer, equity uses this maxim to create **equal rights or equal burdens**, ensuring that *no one gains undue benefit at the expense of another*.

### Illustrations

#### 1. Example 1: Distribution among Creditors

Suppose a debtor owes money to several creditors, but his property is insufficient to pay all.  
Equity will divide the available assets **equally** among them in proportion to their claims —  
“Equality is equity.”

#### 2. Example 2: Joint Purchasers or Owners

If two or more persons jointly purchase property and contribute equally,  
equity presumes they have **equal shares**, unless there is evidence to the contrary.

#### 3. Example 3: Co-Trustees or Co-Executors

Where several trustees are jointly responsible for breach of trust,  
equity distributes **liability equally** among them.

#### 4. Example 4: Husband and Wife Contribution

Where both husband and wife contribute to property but the title is in one name,  
equity presumes **equal beneficial ownership** (unless intention shows otherwise).

### Legal Principle

This maxim promotes **parity and fairness** in legal and moral relations.

Where the law is silent or uncertain, equity steps in to:

- Divide rights or obligations **equally**, and
- Prevent one party from **profiting unfairly** over another.

It acts on the conscience and ensures that **justice is evenly balanced** between all who stand in the same position.

### Important Case Laws

#### 1. Dering v. Earl of Winchelsea (1787) 1 Cox 318

**Facts:** Three persons stood as sureties for a debt. One surety paid the entire amount and sought contribution from the others.

**Held:** Equity held that all sureties are equally liable — the one who paid can claim proportionate contribution from others.

“Where there is equality of obligation, there should be equality of burden.”

#### 2. Cowper v. Cowper (1734) 2 P Wms 720

**Held:** Lord Chancellor Talbot stated: “Equality is equity. The equality which equity aims at is equality in the result — equal justice to both sides.”

This case established the **moral foundation** of the maxim.

### 3. Craythorne v. Swinburne (1807) 14 Ves 160

**Held:** In a case of co-sureties, it was held that each surety must bear **an equal share of liability**.

Equity distributes both **benefit and burden** equally among equals.

### 4. India: Nathu Lal v. Gomti Kaur (AIR 1955 All 658)

**Held:** Where both parties have contributed to purchase of property but the title deed was in one’s name, the court applied this maxim and declared **equal beneficial interest** for both.

### 5. India: Gur Narayan v. Sheo Lal Singh (AIR 1918 PC 140)

**Held:** The Privy Council observed that **equity always leans towards equality** when parties stand in the same relation and no superior right exists.

## Applications of the Maxim

### 1. Among Creditors

- When several creditors claim from an insolvent estate, and the estate is insufficient, equity divides the property **proportionately** among them.  
→ This is the doctrine of **Pari Passu** (equal footing).

### 2. In Trusts

- If a trustee wrongfully mixes trust property with his own, and part of it is lost, equity divides the remaining equally between trustee and beneficiary.

### 3. In Joint Obligations

- Co-debtors, co-sureties, or co-trustees share **equal liability** unless otherwise agreed.

### 4. In Partition and Co-Ownership

- If co-owners have contributed equally, equity presumes **equal shares**, unless proven otherwise.

### 5. In Marriage and Property

- Where spouses equally contribute (monetarily or otherwise), courts often apply this maxim to determine **equal beneficial ownership**.

### 6. In Administration of Estates

- When a deceased person leaves debts but insufficient property, the assets are distributed **equally among creditors** after legal expenses.

## Exceptions to the Maxim

### 1. Inequality of Circumstances or Merit

- When one party has a **superior equity** (better claim, priority, or conduct), the court will **not apply equality** mechanically.  
Example: “Where equities are equal, the first in time shall prevail.”

### 2. Intention of the Parties

- If a contract or trust deed shows that the parties intended **unequal shares**, equity respects that intention.

### 3. Legal Priority

- Where statute or legal right gives **priority** to one creditor or claimant, equity cannot override it.

#### 4. Different Contributions

- When one party contributes more (money, labor, or risk), equal division would be unfair — so equity adjusts accordingly.

#### Relation with Other Maxims

##### Related Maxim

##### Connection

“Where equities are equal, the first in time shall prevail.” When two claims are equal, equity uses time to decide priority.

“Equity follows the law.”

Equity ensures equality, but not against legal rights.

“He who seeks equity must do equity.”

Equality demands fairness and reciprocal obligations.

#### Practical Example in Indian Context

- **Example: Partition of Property**

Two brothers purchase land jointly, but title is in elder brother’s name.

The younger brother proves that he contributed half the money.

The court applies “*equality is equity*” and grants equal share.

- **Example: Co-Trustees Breach**

If two trustees misuse trust property, both will share the loss equally, even if one handled the funds directly — because **equity apportions the burden equally**.

#### Judicial Observations

- **Lord Eldon:**

“Equality among equals is the highest equity.”

- **Supreme Court of India**, in *State of Kerala v. N.M. Thomas* (AIR 1976 SC 490):

Though not directly on this maxim, the Court observed that “*true equality is the soul of justice*”, emphasizing the same moral foundation.

#### Significance

- Promotes **justice, fairness, and impartiality**.
- Prevents one party from gaining an **unfair advantage**.
- Maintains **balance in rights and liabilities**.
- Forms the basis of **equitable distribution, trust law, and insolvency law**.
- Strengthens the **moral conscience** of equity — equality being its truest expression.

#### Conclusion

The maxim “**Equality is equity**” represents the **heart of fairness**.

Where parties have **equal rights, equal claims, or equal obligations**, the court will ensure **equal treatment** — neither gaining undue advantage, nor suffering undue loss.

Equity, as the “conscience of law,” believes that **justice thrives in balance**.

Therefore, equality in rights, duties, and remedies is not merely arithmetic — it is the *moral essence of equity itself*.

#### Final Thought:

“Equity is the law of conscience — and conscience knows no better rule than equality.”

➤ **Maxim 9: “Equity Looks to the Intent Rather Than to the Form”**

#### Meaning

This maxim means that **Equity gives importance to the real intention of the parties**, not merely to the literal or formal words of a document or act.

In simple words:

“Equity cares more about what was meant than how it was said.”

So, if a party’s **true purpose** or **intention** is clear, Equity will **enforce that intention**, even if the **formal expression or legal formality** is defective or incomplete.

### Explanation

Common Law used to be **rigid and technical** — it judged cases strictly by **legal form, words, and procedure**.

But Equity arose to **mitigate that rigidity** and to ensure that **substantial justice** is done.

Therefore, **Equity looks to the intention behind the act** rather than its outward form.

This ensures that **justice is not defeated by mere technical defects**, irregularities, or wording errors.

For example:

- If a document clearly shows that one person meant to create a trust, but the wording is imperfect, equity will **still enforce the trust** based on the true intention.
- Similarly, if a person meant to transfer property to another but made a minor clerical mistake, equity will **not let the intention fail** due to the form.

### Object of the Maxim

The object of this maxim is to ensure:

1. **Substantial justice**, not technical justice.
2. **Fulfilment of genuine intentions**, not defeat due to formality.
3. **Protection of conscience and fairness** over procedural rigidity.

It reflects the **moral conscience of law** — justice is done according to *what was intended, not how it was written*.

### Illustrations

#### 1. Example 1: Imperfect Gift

A intends to gift land to B and executes a deed but forgets to register it.

The intention to transfer is clear, but the legal form is defective.

Equity will recognize A’s intention and may compel completion if justice demands.

#### 2. Example 2: Trust Formation

A declares that certain property shall be used for B’s education, but the wording does not formally create a trust.

Equity interprets the intention — not the form — and recognizes it as a valid trust.

#### 3. Example 3: Mortgage by Deposit of Title Deeds

When a debtor hands over property documents intending them to serve as security,

equity treats this as a **valid equitable mortgage**, even without a formal deed.

#### 4. Example 4: Typographical or Clerical Error

If a contract misstates a name or amount by mistake but both parties knew the real intention,

equity will **rectify** the document to match the true intention.

### Legal Principle

This maxim forms the **basis of interpretation** in equity.

Equity examines the **substance** of the transaction and enforces what is **fair, honest, and intended**, even if the legal technicalities are not fully observed.

It ensures that **law serves justice, not the other way around**.

## Important Case Laws

### 1. Parkin v. Thorold (1852) 16 Beav 59

**Facts:** A mortgage deed had technical errors, but the intention to create security over land was clear.

**Held:** The court said: “Equity looks to the intent rather than to the form.”

The transaction was upheld because the **intention** to create a mortgage was evident.

### 2. Walsh v. Lonsdale (1882) 21 Ch D 9

**Facts:** An agreement for lease was made, but the formal lease deed was not executed.

**Held:** The Court held that **equity treats as done that which ought to be done** and looked to the **intention** to create tenancy, not the lack of formal deed.

This case beautifully combines two maxims:

- “Equity looks to the intent rather than to the form.”
- “Equity regards as done that which ought to be done.”

### 3. Knight v. Knight (1840) 3 Beav 148

**Facts:** The wording of a will was ambiguous regarding the creation of a trust.

**Held:** The court examined the **intention of the testator** — not the grammatical form — to determine whether a trust existed.

### 4. Indian Case: Keshavlal Lalubhai Patel v. Lalbhai Trikumlal Mills Ltd. (AIR 1958 SC 512)

**Held:** The Supreme Court held that **substance must prevail over form**.

The real intention of the parties must be gathered from the entire document, not from isolated expressions.

### 5. Indian Case: CIT v. Panbari Tea Co. Ltd. (AIR 1965 SC 1871)

**Facts:** A lease deed mentioned both premium and rent; question was whether it was a **lease or sale**.

**Held:** The Court held that **intention of the parties**, as seen from the whole transaction, decides its true nature — not merely the form of words used.

“Equity looks at the substance, not the label.”

### 6. Indian Case: Pandurang v. Maruti (AIR 1922 Bom 182)

**Held:** The Bombay High Court observed that **in equity, the intention is the soul of the transaction**.

The court will enforce that intention even if the formal expression is defective.

## Applications of the Maxim

### 1. In Trust Law

- If the settlor’s intention to create a trust is clear, equity will enforce it even if formal words like “trust” or “trustee” are missing.  
What matters is **intention to create an obligation**, not the use of technical language.

### 2. In Mortgages

- A document that shows the intention to create a charge or security is treated as an **equitable mortgage**, even without registration or formalities.

### 3. In Contract Law

- If the real intention of parties differs from the literal meaning of words, equity interprets the contract **according to the intention**.

### 4. In Wills and Gifts

- In interpreting wills, equity gives effect to the **testator's intention**, even if the words are imperfectly drafted.

## 5. In Mistake or Rectification

- When a written instrument does not reflect the true intention due to clerical or typographical error, equity may order **rectification** of the document.

### Example in Indian Context

- Suppose A and B agree orally to form a partnership, but fail to prepare a written deed. They start business and share profits.  
In dispute, equity will treat them as partners based on **intention**, even though the **form (written deed)** is missing.
- Similarly, if a father transfers property to his daughter “for her welfare and children,” equity interprets the **intention** as creating a **beneficial interest**, not a bare formality.

### Relation with Other Maxims

| Related Maxim                                         | Connection                                                                            |
|-------------------------------------------------------|---------------------------------------------------------------------------------------|
| “Equity regards as done that which ought to be done.” | Both focus on substance over form; intent is fulfilled even without formal act.       |
| “Equity follows the law.”                             | Equity respects law, but when law is silent or rigid, it gives effect to intention.   |
| “Equity acts in personam.”                            | The intent is enforced through conscience of the person, not the form of transaction. |

### Limitations of the Maxim

- Cannot Override Mandatory Statutory Requirements**
  - When law requires a specific form (e.g., registration of land transfer), equity cannot ignore it.
- Intention Must Be Clear and Proven**
  - Equity will not guess or invent intention; it must be evident from facts or conduct.
- Cannot Validate Illegal Acts**
  - If intention itself is illegal or immoral, equity will not enforce it.
- Cannot Contradict Express Words**
  - If words are unambiguous and lawful, equity cannot substitute a new meaning.

### Judicial Observation

- **Lord Romilly M.R.** in *Parkin v. Thorold (1852)* said:

“In equity, the intent of the parties must govern; forms are merely instruments to carry out that intent.”

- **Justice Subba Rao (India)** in *Panbari Tea Co. case* said:

“In law, substance must prevail over form — intention is the real guide.”

### Significance

- Promotes **fairness and justice** over legal technicalities.
- Prevents **failure of justice** due to formal defects.
- Reflects **moral conscience** of the court.
- Encourages **honesty and good faith** in dealings.

- Ensures that law remains **a tool for justice, not a trap of procedure.**

## Conclusion

The maxim **“Equity looks to the intent rather than to the form”** is one of the most humane doctrines of equity. It ensures that **substance prevails over technical form**, and **genuine intentions are fulfilled** even when formalities fail.

Equity, as the court of conscience, insists that **justice must be done according to what was truly meant**, not by what was imperfectly expressed.



### Final Thought:

“Form is the body of law; intent is its soul — and equity always serves the soul of justice.”

### ➤ Maxim 10: “Equity Acts in Personam”

## Meaning

The maxim “Equity acts in personam” means that **Equity operates on the conscience of the person (individual)** and not directly upon property or the thing itself (*in rem*).

In simple words:

“Equity orders the person to act justly — it does not directly seize or control the property.”

So, equity courts give **personal decrees** — they command or restrain individuals, compelling them to do what **fairness and good conscience** require.

## Explanation

At **common law**, judgments were *in rem* — meaning they directly affected the property or rights, regardless of who held them. But in **Equity**, the courts (especially the Court of Chancery in England) focused on **the person’s conscience**.

Equity acts by directing the individual to do (or not do) something:

- to **perform** a contract,
- to **transfer** property,
- to **stop** a wrongful act, or
- to **fulfil** a trust or obligation.

Thus, an equitable decree does not automatically change ownership of the property — instead, it orders the person to act according to justice and conscience.

If he disobeys, the court can punish him for **contempt**.

## Philosophical Foundation

This maxim is based on **moral conscience** — the idea that justice must appeal to the heart and conduct of individuals, not merely to external forms.

The Chancellor (in early English equity courts) acted as **“the Keeper of the King’s Conscience”**, ensuring that:

“No man shall take advantage of his own wrong,  
and every man shall act honestly and fairly.”

Therefore, Equity’s focus is always on the **moral obligation** of the party, not just on ownership or possession.

## Illustration

### 1. Example 1 – Specific Performance:

A agrees to sell his house to B. Later, he refuses.

Common law could only award **damages** (money).

But **equity acts in personam** — the court orders A **personally** to perform his promise and transfer the property.

2. **Example 2 – Injunction:**

A threatens to publish defamatory material against B.

The court orders A personally to **refrain** from publishing — this is an equitable order acting **on A's conscience**.

3. **Example 3 – Trust:**

A holds property as trustee for B.

The legal title is in A's name, but equity acts **in personam** to compel A to use that property for B's benefit.

4. **Example 4 – Mortgage Redemption:**

A mortgagor has paid his debt but the mortgagee (B) refuses to release the property.

The court acts on B's conscience — compelling him to reconvey the property to A.

## Effect and Scope

The maxim means that **equitable decrees are binding on the person**, not on the property.

Therefore:

- Equity follows the **person**, wherever he goes.
- Equity does **not** directly transfer title to property.
- A foreign property (outside jurisdiction) may still be affected **if the person** is within the court's reach.

Thus, a court of equity may compel a person in India to transfer property in England, because the order is directed **to the person**, not to the land.

## Important Case Laws

### 1. Penn v. Lord Baltimore (1750) 1 Ves Sen 444

**Facts:** Two noblemen made an agreement about the boundary between their American provinces (Maryland and Pennsylvania).

The land itself was outside England (in America).

One party refused to perform the agreement.

**Held:** The Court of Chancery in England granted **specific performance**, saying:

“Equity acts in personam.”

Even though the land was outside England, the court could compel the defendant (who was within its jurisdiction) to perform the contract.

#### Principle:

Equity can order a person within its jurisdiction to act in relation to property outside it — because the order operates **on the person's conscience**.

### 2. Knight v. Knight (1840) 3 Beav 148

**Held:** A trust obligation is enforced **in personam** — the trustee is personally bound in conscience to use the property for the beneficiary's benefit.

### 3. Ewing v. Orr Ewing (1883) 9 App Cas 34

**Held:** An equitable decree acts upon the **person**, not the property; hence the jurisdiction depends upon where the defendant resides, not where the property lies.

### 4. India: Debendra Nath v. Bibudhendra Mansingh (AIR 1916 PC 101)

**Facts:** The dispute related to immovable property outside the jurisdiction of the court.

**Held:** The Privy Council held that though a court cannot directly affect property outside its limits, it can act **in personam** against a person within its jurisdiction to compel performance or restraint.

### 5. India: Nirmala Bala Ghose v. Balai Chand Ghose (AIR 1965 SC 1874)

**Held:** The Supreme Court held that **decrees for specific performance or injunction** are *in personam*, not *in rem*.  
The court acts upon the defendant’s conscience to perform or abstain.

**6. India: Vasudev Ramchandra Shelat v. Pranlal Jayanand Thakar (1974 AIR SC 1728)**

**Held:** The Court reaffirmed that **equitable reliefs** like specific performance, rectification, rescission, or injunction operate **in personam**, not upon property.

**Applications of the Maxim**

**1. In Trust Law**

Equity enforces trust obligations **personally** on trustees.  
It does not automatically change ownership, but compels the trustee to act according to conscience.  
“A trust is a personal obligation binding in conscience on the trustee.”

**2. In Specific Performance**

The court directs the person to perform the contract — this is a **personal decree**, not a property transfer.

**3. In Injunctions**

Equity orders the person **not to do** something — e.g., not to trespass, publish, or build — thus acting **in personam**.

**4. In Mortgages**

Even after legal title passes to the mortgagee, equity compels him to reconvey when the debt is paid — acting on his conscience.

**5. In Rectification or Rescission of Contracts**

Equity acts on the person who committed a mistake or misrepresentation, to correct the wrong.

**Legal Position in India**

In India, this principle is embodied in the **Specific Relief Act, 1963**, which governs equitable remedies like:

- Specific performance,
- Rectification,
- Rescission,
- Injunctions, and
- Declaratory decrees.

All these **operate in personam**, meaning they bind the defendant personally.

Indian courts therefore follow this English equitable doctrine fully.

**Difference Between “In Rem” and “In Personam”**

| Basis      | In Rem                                                                                    | In Personam                        |
|------------|-------------------------------------------------------------------------------------------|------------------------------------|
| Meaning    | Act upon the thing/property                                                               | Act upon the person’s conscience   |
| Nature     | Legal                                                                                     | Equitable                          |
| Effect     | Binds the whole world                                                                     | Binds only the parties to the case |
| Example    | Ownership decree, criminal conviction Injunction, specific performance, trust enforcement |                                    |
| Court Type | Common law court                                                                          | Court of Equity                    |

**Limitations of the Maxim**

1. **Court Must Have Personal Jurisdiction**  
The court can act only if the person is within its jurisdiction.
2. **Cannot Contradict Statutory Law**  
Equity acts on conscience but cannot override express law.
3. **Cannot Enforce Illegal or Immoral Acts**  
Equity will not compel performance of a contract that is unlawful or against public policy.
4. **No Power Over Foreign Property Without Jurisdiction Over the Person**  
If the person is outside the court's control, the decree cannot operate.

#### Judicial Observations

- **Lord Hardwicke (Penn v. Lord Baltimore, 1750):**

"Equity acts upon the person, and may indirectly act upon the land by compelling the conscience of the party."

- **Justice Subba Rao (Indian Supreme Court):**

"Specific performance and injunction are equitable decrees — they bind the conscience, not the land."

#### Relation with Other Maxims

| Related Maxim                                         | Connection                                                       |
|-------------------------------------------------------|------------------------------------------------------------------|
| "Equity looks to the intent rather than to the form." | Both focus on conscience and fairness of the individual.         |
| "Equity follows the law."                             | Even when acting in personam, equity respects the limits of law. |
| "He who seeks equity must do equity."                 | Both depend on the personal conduct of the individual.           |

#### Significance of the Maxim

- It explains the **moral and personal nature** of equitable jurisdiction.
- It shows that **equity's goal is to purify the conscience** of the wrongdoer, not merely to transfer property.
- It allows equity to act **flexibly and universally**, even across borders.
- It forms the **foundation of equitable remedies** in modern law — injunction, specific performance, trust enforcement, and rectification.

#### Conclusion

The maxim "**Equity acts in personam**" beautifully captures the **spirit of equity** — justice that touches the **heart and conscience** of the person.

Unlike rigid legal rules, equity's commands are **moral and personal**, ensuring that no one escapes the reach of justice by hiding behind property or formality.

#### **Final Thought:**

"Equity does not seize the property — it seizes the conscience."

## UNIT II – Trust

### **TRUST – Nature and Definition**

#### 1. Introduction

The concept of **Trust** is one of the most significant creations of **Equity**.

It represents a **moral and legal relationship** in which one person holds property **for the benefit of another**.

In simple words:

A Trust is an arrangement where one person (the trustee) holds property for the use or benefit of another (the beneficiary).

The doctrine of trust originated in **England**, through the **Court of Chancery**, as a part of **equitable jurisdiction** to prevent injustice that arose from the rigid rules of common law.

## 2. Historical Background (Origin of Trust)

- In **medieval England**, people often left their land to friends to hold it for the use of their family or for religious purposes — this was known as a “**use**”.
- However, the **common law courts** recognized only the **legal owner**, not the person for whose benefit the property was held.
- This caused hardship because the true beneficiary had **no legal protection**.

To correct this injustice, the **Court of Chancery** began to enforce these “uses” on the ground of **conscience** — compelling the legal owner to honor the confidence placed in him.

Thus, the “**use**” developed into what we now call a **Trust** — a cornerstone of Equity.

### ➤ Definition of Trust

#### (A) Under English Law

According to **Underhill**,

“A Trust is an equitable obligation binding a person (trustee) to deal with property over which he has control, for the benefit of persons (beneficiaries) or for some object recognized by law.”

Thus, trust involves **confidence**, **obligation**, and **benefit** — three essential pillars.

#### (B) Under Indian Law

Under **Section 3 of the Indian Trusts Act, 1882**,

“A trust is an obligation annexed to the ownership of property, and arising out of a confidence reposed in and accepted by the owner, or declared and accepted by him, for the benefit of another or of himself and another.”

So, a trust is created when an owner of property (called **author or settlor**) reposes confidence in another person (**trustee**) to hold that property for the benefit of another (**beneficiary**).

## 4. Essential Elements of a Trust

To create a valid trust, the following **five essential elements** must exist:

### (i) Author of the Trust

- The person who creates the trust.
- Also called **Settlor** or **Founder**.
- He must be competent to contract (as per the Indian Contract Act, 1872).

*Example:* A, the owner of property, transfers it to B in trust for C. Here, A is the **author**.

### (ii) Trustee

- The person who accepts the confidence.
- He holds the property on behalf of the beneficiary.
- He must accept the trust — acceptance may be express or implied.

*Example:* B in the above example is the **trustee**.

### (iii) Beneficiary

- The person for whose benefit the trust is created.
- He can be a single person, group, or even the public (in case of charitable trusts).

*Example:* C in the above example is the **beneficiary**.

#### (iv) Trust Property or Subject-Matter

- The property must be **definite and transferable** under Section 8 of the Transfer of Property Act, 1882.
- It may be movable or immovable, tangible or intangible (money, land, shares, etc.).
- The author must have **ownership rights** over the property at the time of creation.

#### (v) Object or Purpose of the Trust

- The object must be **lawful** and **certain**.
- It must not be fraudulent, immoral, or opposed to public policy (Sec. 4 of the Trusts Act).
- Charitable, religious, educational, or family purposes are common lawful objects.

### 5. Example of a Simple Trust

A, being about to leave for abroad, transfers his property to B, saying —

“Hold this for my son C till he becomes 21.”

Here:

- A = Author
- B = Trustee
- C = Beneficiary
- Property = Trust property
- Object = For C’s benefit till he attains majority.

### 6. Nature of Trust

The **nature of a trust** can be understood through the following points:

#### (i) Trust is an Obligation

A trust is not a contract, but an **obligation** attached to the ownership of property.

It arises from confidence — not from consideration.

The trustee is morally and legally bound to fulfill this obligation.

#### (ii) Dual Ownership

Trust creates **two types of ownership**:

1. **Legal Ownership** – held by the trustee.
2. **Equitable Ownership** – enjoyed by the beneficiary.

Thus, the trustee owns the property *in law*, but the beneficiary owns it *in equity*.

#### (iii) Based on Confidence

A trust arises from the confidence reposed by the author in the trustee.

This is why it is often said:

“A trust is built on confidence and conscience.”

#### (iv) Fiduciary Relationship

The trustee stands in a **fiduciary (faith-based)** relationship with the beneficiary.  
He must act honestly, loyally, and prudently for the beneficiary's interest — not his own.

### (v) Enforceable in Equity

Originally, trusts were enforceable only in the **Court of Chancery (Equity)**.  
Even today, the Indian Trusts Act gives courts **equitable powers** to compel trustees to perform their duties.

### (vi) Property Must Exist

There can be no trust without property.  
An intention to create a trust is not enough — some **definite property** must be transferred or set apart.

### (vii) Not a Contract

Though it involves confidence between two persons, a trust is **not a contract** because it is not based on consideration but on **moral obligation** and **confidence**.

## 7. Requisites of a Valid Trust (Section 6, Indian Trusts Act)

According to Section 6 of the Indian Trusts Act, 1882, a trust is created when the following conditions are fulfilled:

1. **Author of the trust** is competent to create it.
2. **A clear intention** to create a trust is shown.
3. **Definite purpose** of the trust.
4. **Trust property** is defined.
5. **Beneficiary** is certain.
6. **Transfer of property** to the trustee is completed (if necessary).

## 8. Kinds of Trusts (Brief Classification)

We'll study these in detail in the next topic, but for now:

| Type                          | Example                                 | Nature                                         |
|-------------------------------|-----------------------------------------|------------------------------------------------|
| Private Trust                 | For the benefit of specific individuals | Governed by Indian Trusts Act, 1882            |
| Public or Charitable Trust    | For benefit of public at large          | Not governed by Trusts Act                     |
| Express Trust                 | Created by clear intention              | Created by act of parties                      |
| Implied or Constructive Trust | Arises by operation of law              | Created by equity to prevent unjust enrichment |

## 9. Important Case Laws

### (1) Knight v. Knight (1840) 3 Beav 148

**Held:** Laid down the **"Three Certainties"** necessary for a valid trust:

1. **Certainty of Intention** (to create a trust)
2. **Certainty of Subject-Matter** (property must be defined)
3. **Certainty of Object** (beneficiary must be clear)

Without these, a trust fails.

### (2) Milroy v. Lord (1862) 4 De G.F. & J. 264

**Held:** For a valid trust, there must be a **clear declaration or transfer of property**.  
Equity will not perfect an imperfect gift.

### (3) Rajammal v. State Bank of India (1992) 1 MLJ 192 (Madras HC)

**Held:** Where property was transferred for the benefit of a minor, and the confidence was accepted, a valid trust was created under Section 3 of the Indian Trusts Act.

### (4) CIT v. Kamla Town Trust (1996) AIR SC 1500

**Held:** The Supreme Court recognized the **validity of charitable trusts** created for public welfare purposes under Indian law.

## 10. Importance of Trust

- Protects the interest of minors, dependents, or those unable to manage property.
- Encourages social, religious, and charitable purposes.
- Helps manage and distribute property efficiently.
- Strengthens fiduciary relationships in modern law.
- Foundation for many modern institutions — e.g., pension funds, mutual funds, charitable foundations, etc.

## 11. Conclusion

A **Trust** is a moral and legal device created by Equity to enforce **conscience, honesty, and fairness** in dealing with property. It ensures that property is used **not merely for the owner's benefit**, but for the welfare of others as per the confidence reposed.

⚖️ “A trust is not just a transfer of property — it is a transfer of moral obligation and conscience.”

Under the **Indian Trusts Act, 1882**, the trust stands as a vital bridge between **law and morality**, ensuring justice, honesty, and welfare in property management.

## KINDS OF TRUSTS

### 1. Introduction

Trusts are classified into different kinds depending on **their nature, purpose, creation, and beneficiaries**.

The classification helps understand **how a trust is formed, who benefits from it, and how it is regulated by law**.

In general, trusts are divided into:

1. **Private Trusts**, and
2. **Public or Charitable Trusts**

But equity recognizes several other distinctions based on **creation, control, and purpose**.

Let's study them one by one 🙌

### 2. Broad Classification of Trusts

#### I. Based on Purpose

##### (A) Private Trusts

- A trust created **for the benefit of specific individuals** or a definite group of persons.
- The **beneficiaries are certain and identifiable**.
- Governed by the **Indian Trusts Act, 1882** (Sections 3–82).

##### ■ Example:

A transfers ₹5 lakh to B in trust to pay the education expenses of C (his nephew).

Here, C is a definite beneficiary — hence, it is a **private trust**.

### ✓ Features:

1. Beneficiaries are definite and ascertainable.
2. Governed by Indian Trusts Act, 1882.
3. Can be enforced by the beneficiaries.
4. Termination occurs when the purpose is achieved.
5. Subject to income tax and registration (if immovable property is involved).

### (B) Public or Charitable Trusts

- A trust created **for the benefit of the public or a large section of society**.
- It promotes purposes like education, relief of poverty, religion, medical aid, or other charitable objects.
- Governed by **general principles of equity and statutes**, not by the Indian Trusts Act, 1882.

### ■ Example:

A donates property for the establishment of a hospital for poor people.

This is a **public charitable trust**.

### ✓ Features:

1. Beneficiaries are uncertain — the public or a class of public.
2. Object must be **charitable or public welfare**.
3. Not governed by Indian Trusts Act, 1882.
4. Enforced by the **Attorney General** or public authorities.
5. Usually perpetual in nature.

## II. Based on Mode of Creation

### (A) Express Trusts

- Created **by the express intention** of the author (settlor).
- Intention is declared either **in writing or orally**.
- Such trust arises from a deliberate act of the author.

### ■ Example:

A executes a deed saying, "I transfer ₹1 lakh to B, to hold in trust for the education of my daughter C."

This is an **express trust**.

### ✓ Essentials of Express Trust:

1. Clear intention to create a trust.
2. Identifiable property.
3. Certainty of purpose and beneficiary.

### 📖 Case Law: *Knight v. Knight (1840)* —

Laid down the **three certainties**: intention, subject-matter, and object — necessary for an express trust.

### (B) Implied Trusts

- Also called **Resulting Trusts**.
- Not created by express intention but **arise by operation of law**.

- They arise when the conduct of the parties shows an intention to create a trust, or equity presumes it to prevent **unjust enrichment**.

#### ■ Example:

A pays for property in B's name — unless evidence shows a gift, equity presumes B holds it **in trust for A**.  
This is an **implied trust**.

#### 📖 Case Law: *Dyer v. Dyer (1788)* —

Laid the foundation of **resulting trust** where property purchased in another's name is presumed to belong to the purchaser.

### (C) Constructive Trusts

- These are **created by operation of law**, not by any intention — to prevent **fraud, dishonesty, or unjust enrichment**.
- Arise when it would be **unconscionable** for a person to retain property.

#### ■ Example:

A fraudulently obtains property from B.  
Equity treats A as a **constructive trustee** — holding the property for B's benefit.

#### 📖 Case Law: *Westdeutsche Landesbank v. Islington (1996)* —

Held that constructive trusts arise from **unconscionable conduct**, not from intention.

## III. Based on Duration

### (A) Revocable Trust

- Can be **cancelled or modified** by the author at any time.
- Usually created for temporary purposes.
- If revoked, property reverts to the settlor.

### (B) Irrevocable Trust

- Once created, **cannot be revoked** by the author.
- Property permanently vests in the trustee for the beneficiary's benefit.
- Most charitable trusts are irrevocable.

## IV. Based on Control or Management

### (A) Discretionary Trust

- Trustee has **discretion** regarding how much and when to distribute benefits among beneficiaries.

#### ■ Example:

A leaves property to B in trust for his children, and B may spend such income "as he thinks fit" for their benefit.

### (B) Non-Discretionary or Fixed Trust

- The shares of the beneficiaries are **fixed and definite**.
- Trustee has no discretion in distribution.

## V. Based on Object or Purpose

| Type                    | Purpose                                        | Example                       |
|-------------------------|------------------------------------------------|-------------------------------|
| <b>Religious Trust</b>  | For promoting religion or religious activities | Temple, mosque, church trusts |
| <b>Charitable Trust</b> | For relief of poverty, education, health, etc. | Hospital, school, orphanage   |

| Type                            | Purpose                       | Example                                     |
|---------------------------------|-------------------------------|---------------------------------------------|
| <b>Family or Private Trust</b>  | For benefit of family members | Property for children's maintenance         |
| <b>Public-cum-Private Trust</b> | Combination of both           | Property for family and for charity jointly |

### 3. Comparative Table: Private vs Public Trusts

| Basis                 | Private Trust                       | Public Trust                              |
|-----------------------|-------------------------------------|-------------------------------------------|
| <b>Beneficiaries</b>  | Specific, definite persons          | General public or class of public         |
| <b>Law Applicable</b> | Indian Trusts Act, 1882             | Charitable and Religious Trusts Law       |
| <b>Object</b>         | Personal benefit                    | Public or charitable purpose              |
| <b>Creation</b>       | By act of parties                   | By act of parties or statute              |
| <b>Enforcement</b>    | By beneficiaries                    | By Attorney General or public authorities |
| <b>Example</b>        | Trust for education of A's children | Trust for poor students of a village      |

### 4. Case Laws on Kinds of Trust

#### (1) Morice v. Bishop of Durham (1805) 10 Ves 522

**Held:** A trust must have **definite and certain beneficiaries**; otherwise, it is void as a private trust. This led to the distinction between **private and public trusts**.

#### (2) Dyer v. Dyer (1788) 2 Cox Eq Cas 92

**Held:** When a property is purchased in the name of another person, it results in an **implied (resulting) trust** for the person who paid the money.

#### (3) Keech v. Sandford (1726) 2 Eq Cas Abr 741

**Held:** A trustee cannot make personal profit from trust property. This led to the concept of **constructive trust** in case of breach of fiduciary duty.

#### (4) Westdeutsche Landesbank v. Islington (1996) AC 669

**Held:** Defined constructive trust as one arising when property is held under **unconscionable circumstances**.

#### (5) C.I.T. v. Kamla Town Trust (AIR 1996 SC 1500)

**Held:** Laid down the distinction between **private and public trusts** under Indian law. A trust with public welfare objective is a **charitable trust**, exempt from certain taxes.

### 5. Position under Indian Law

Under the **Indian Trusts Act, 1882**:

- **Private trusts** are governed by the Act.
- **Public or charitable trusts** are governed by other laws like:
  - Charitable and Religious Trusts Act, 1920
  - Religious Endowments Act, 1863
  - Societies Registration Act, 1860

Public trusts are also regulated by **state laws**, e.g.,

- Bombay Public Trusts Act, 1950,

- Rajasthan Public Trusts Act, 1959, etc.

## 6. Importance of Classification

1. Determines **rights and duties** of trustees and beneficiaries.
2. Helps courts decide **which law applies**.
3. Clarifies **who can enforce the trust**.
4. Determines **tax exemptions** (public charitable trusts).
5. Ensures proper **administration and regulation** of trust property.

## 7. Conclusion

The **kinds of trusts** reflect the flexibility and depth of equity in promoting **justice, honesty, and social welfare**.

From **private family trusts** to **public charitable institutions**, each type plays a vital role in balancing **individual benefit and social good**.

### Final Thought:

“Trusts are the conscience of property —  
they convert ownership into obligation and wealth into welfare.”

## CREATION OF TRUSTS

*(Under the Indian Trusts Act, 1882 — Sections 4 to 10)*

### 1. Meaning and Introduction

The word “**creation of trust**” refers to the **process by which a trust comes into legal existence** — that is, when property is legally vested in a trustee for the benefit of a beneficiary.

A trust is not valid merely by wish or promise — it must be **created with clear intention, lawful purpose, identifiable property, and certainty of beneficiaries**.

In India, the **requirements for creation of trust** are governed by **Section 6 of the Indian Trusts Act, 1882**.

### 2. Essentials of a Valid Creation of Trust (Section 6)

According to **Section 6**, a trust is created when the following elements are present:

“A trust is created when the author of the trust indicates with reasonable certainty —

- (a) an intention to create a trust,
- (b) the purpose of the trust,
- (c) the beneficiary,
- (d) the trust-property, and
- (e) transfers the trust-property to the trustee (unless the author himself declares that he holds it in trust).”

Let’s understand each essential in detail 🗑️

#### (i) Intention to Create a Trust

- The author (settlor) must show a **clear and definite intention** to create a trust.
- Intention may be **express** (by words or writing) or **implied** (by conduct).
- There must be a **divestment of ownership** and **vesting of obligation** in the trustee.

#### Example:

A transfers property to B saying “I want you to use this money for C’s education.”

→ Shows clear intention to create a trust.

📖 **Case Law:** *Knight v. Knight (1840)* —

Laid down the **three certainties** required to establish intention:

1. Certainty of intention
2. Certainty of subject matter
3. Certainty of objects (beneficiaries)

If any of these certainties is missing, no valid trust arises.

### (ii) Purpose of the Trust

- The purpose or object must be **lawful, definite, and capable of being performed**.
- If the object is **fraudulent, illegal, immoral, or opposed to public policy**, the trust is void (Sec. 4).

■ **Examples of lawful purposes:**

→ Education, maintenance, charity, religion, family welfare, etc.

■ **Examples of unlawful purposes:**

→ Promoting crime, immoral acts, defrauding creditors.

📖 **Case Law:** *Raja Chelliah v. Ramanathan Chettiar (AIR 1979 Mad 9)* —

Held that if the object is uncertain or contrary to law, the trust fails.

### (iii) Beneficiary

- The **beneficiary must be certain or capable of being ascertained**.
- The beneficiary is the person **for whose benefit the trust is created**.
- Only those who can be **recognized by law as persons** can be beneficiaries.

■ **Example:**

A creates a trust “for my children.” → Valid.

But “for my friends” → Invalid (uncertain class).

📖 **Case Law:** *Morice v. Bishop of Durham (1805)* —

Trust must have **definite beneficiaries**, otherwise it cannot be enforced.

### (iv) Trust Property

- There must be **some property (movable or immovable)** which is subject of the trust.
- Property must be **certain and transferable**.
- If property is **not in existence** or **non-transferable**, trust cannot be created.

■ **Example:**

A promises to create a trust for B’s benefit in future earnings → Invalid (no present property).

📖 **Case Law:** *CIT v. Kamla Town Trust (1996 AIR SC 1500)* —

Held that property of trust must be **definite and identifiable** at the time of creation.

### (v) Transfer to Trustee or Declaration by Owner

- The author must either:
  1. **Transfer the property to a trustee, OR**
  2. **Declare himself as trustee** for the beneficiary.
- If property is immovable, the transfer must be **by written instrument and registered**.
- If movable property, **delivery or declaration** is sufficient.

 **Case Law:** *Ramaswami Naicker v. M. Sundaram (AIR 1951 Mad 642)* —

Held that a trust is complete when there is a **clear declaration and transfer of property** in accordance with law.

### 3. Who Can Create a Trust (Section 7)

- Any person competent to contract (Sec. 11, Indian Contract Act) —  
i.e. **major, of sound mind, and not disqualified by law.**
- A **minor cannot create a trust**, but a trust can be created **for the benefit of a minor.**

#### Example:

A father can create a trust for his minor child's education, but a minor cannot create a trust for others.

### 4. Subject Matter of Trust (Section 8)

- The subject matter (property) must be:
  1. **Transferable,**
  2. **Existing,** and
  3. **Capable of identification.**

If the property cannot be transferred under law (e.g. future inheritance, public offices, pensions), it **cannot form subject of a trust.**

 **Case Law:** *Tulsidas v. Commissioner of Income Tax (1939 PC)* —

Held that property forming the subject matter must be **definite and transferable.**

### 5. Who May Be Trustee (Section 10)

- Any person capable of **holding property** may be a trustee.
- A **minor cannot be a trustee**, because he cannot perform legal obligations.
- The author can himself act as trustee or appoint another person.
- Trustee must accept the trust **voluntarily and knowingly.**

#### Example:

A creates a trust and names B as trustee.

If B accepts the duty, he is bound to execute it according to law.

### 6. Procedure of Creation

#### Step 1: Declaration of Intention

- Author expresses intention to create trust.

#### Step 2: Definition of Object and Beneficiaries

- Specify purpose and name beneficiaries clearly.

#### Step 3: Identification and Transfer of Property

- Define property and transfer it to trustee (if not self-declared).

#### Step 4: Acceptance by Trustee

- Trustee must accept and undertake the fiduciary obligation.

#### Step 5: Registration (If Required)

- If the trust relates to **immovable property**, registration under **Indian Registration Act, 1908** is compulsory.

### 7. Kinds of Declaration

### 1. Written Declaration (Trust Deed):

- Preferred form for legal validity and proof.
- Contains all terms, duties, powers, and rights.

### 2. Oral Declaration:

- Valid for movable property only.
- Not advisable for immovable property.

## 8. Void and Invalid Trusts

A trust is **void** if:

1. The purpose is unlawful (Sec. 4).
2. Beneficiaries are uncertain.
3. Property is not transferable or not in existence.
4. Intention is vague or doubtful.

 **Case Law:** *Subhas Chandra Bose Trust Case* —

Trusts with political or unlawful objectives were declared invalid.

## 9. Distinction between Creation of Trust and Gift

| Basis      | Trust                        | Gift                           |
|------------|------------------------------|--------------------------------|
| Nature     | Creates fiduciary obligation | Absolute transfer of ownership |
| Parties    | Author, Trustee, Beneficiary | Donor and Donee                |
| Object     | Benefit of another           | Benefit of donee               |
| Acceptance | By trustee                   | By donee                       |
| Law        | Indian Trusts Act, 1882      | Transfer of Property Act, 1882 |

## 10. Conclusion

The **creation of a trust** is not a mere act of transferring property — it is a **moral and legal arrangement** where ownership becomes an **obligation** for the benefit of another.

A valid trust ensures:

- Clear intention,
- Definite purpose,
- Certain beneficiary,
- Lawful subject matter, and
- Proper transfer and acceptance.

 **In essence:**

“A trust begins where conscience commands and law enforces.”

## CHARITABLE TRUSTS AND THEIR DISTINCTION WITH PRIVATE TRUSTS

### 1. Meaning and Introduction

A **charitable trust** is a type of **public trust** created **for the benefit of the public or a section of the public**, with the **object of promoting charity, welfare, or public good**.

Unlike private trusts, which benefit specific individuals, charitable trusts exist to serve **society at large** — through education, medical relief, poverty alleviation, and other benevolent purposes.

The concept originates from **English equity law**, where courts of chancery recognized and protected charitable purposes as matters of **public interest and conscience**.

## 2. Definition

Although the **Indian Trusts Act, 1882** does **not apply to public or charitable trusts**, charitable trusts are recognized and governed by **general principles of equity** and **specific statutes** such as:

- **Charitable Endowments Act, 1890**
- **Charitable and Religious Trusts Act, 1920**
- **Bombay Public Trusts Act, 1950**
- **Societies Registration Act, 1860**

### Judicial Definition:

In *Commissioner of Income Tax v. Andhra Chamber of Commerce (AIR 1965 SC 1281)*, the Supreme Court held that:

“A charitable purpose includes relief of the poor, education, medical relief, and advancement of any other object of general public utility.”

## 3. Essentials of a Charitable Trust

To be valid, a charitable trust must satisfy the following essentials 📌

### (i) Charitable Purpose

The object of the trust must be **for the benefit of the public** and fall within any of the following recognized heads of charity (from *Pemsel's Case*, 1891):

1. **Relief of poverty**
2. **Advancement of education**
3. **Advancement of religion**
4. **Other objects of general public utility**

### Example:

A donates property to establish a free school for poor children → charitable purpose.

### (ii) Public Benefit

The trust must serve **a section of the community**, not particular individuals.

Even if beneficiaries are limited (like “students of XYZ village school”), it is valid as long as they form a **definite class of the public**.

### Case Law: *Re Compton (1945)*

A trust for descendants of named persons was held **not charitable**, since it benefited a **private group**, not the public.

### (iii) Lawful Object

The purpose must not be:

- Illegal,
- Immoral,

- Opposed to public policy.  
Otherwise, it will be **void** under Section 4 of the Indian Trusts Act.

#### (iv) Certainty of Purpose and Property

Even though beneficiaries are indefinite, the **purpose and property** of the trust must be clearly defined and identifiable.

##### ■ Example:

A declares ₹10 lakh for building a charitable hospital.

Purpose (medical relief) and property (₹10 lakh) are certain — valid charitable trust.

#### (v) Irrevocability

Charitable trusts are **presumed to be perpetual** and **cannot be revoked**, except when the object fails completely or becomes impossible.

### 4. Kinds of Charitable Trusts

| Type                                    | Explanation                                                                | Example                                      |
|-----------------------------------------|----------------------------------------------------------------------------|----------------------------------------------|
| <b>Religious Trust</b>                  | For promotion of religion, maintenance of temples, churches, mosques       | Temple trust                                 |
| <b>Educational Trust</b>                | For education or scholarships                                              | Trust for free schooling                     |
| <b>Medical Trust</b>                    | For relief of sickness or establishing hospitals                           | Trust for cancer treatment                   |
| <b>Public Welfare Trust</b>             | For community welfare like water supply, shelter homes, or disaster relief | Trust for poor housing                       |
| <b>Mixed (Public-cum-Private) Trust</b> | For both family and charitable purposes                                    | Trust for settlor's family and also for poor |

### 5. Distinction between Charitable Trust and Private Trust

| Basis                                | Charitable (Public) Trust                                                    | Private Trust                              |
|--------------------------------------|------------------------------------------------------------------------------|--------------------------------------------|
| <b>1. Beneficiaries</b>              | Public or a section of the public                                            | Specific individuals                       |
| <b>2. Purpose</b>                    | Public welfare or charity                                                    | Private benefit                            |
| <b>3. Law Applicable</b>             | Not governed by Indian Trusts Act, 1882; governed by equity and special laws | Governed by Indian Trusts Act, 1882        |
| <b>4. Certainty of Beneficiaries</b> | Not necessary; indefinite beneficiaries allowed                              | Beneficiaries must be certain              |
| <b>5. Enforcement</b>                | Enforced by Attorney General or Advocate-General                             | Enforced by beneficiaries themselves       |
| <b>6. Registration</b>               | Generally required under local/state laws                                    | Required if immovable property is involved |
| <b>7. Supervision</b>                | Supervised by Charity Commissioner or State authorities                      | No government supervision                  |
| <b>8. Duration</b>                   | Generally perpetual                                                          | May terminate when object achieved         |
| <b>9. Tax Benefit</b>                | Exempted from income tax (Sec. 11–12, Income Tax Act, 1961)                  | Not exempted from tax                      |

| Basis       | Charitable (Public) Trust   | Private Trust                |
|-------------|-----------------------------|------------------------------|
| 10. Example | Trust for education of poor | Trust for benefit of A's son |

## 6. Judicial Precedents on Charitable Trusts

### (1) Commissioners for Special Purposes of Income Tax v. Pemsel (1891) AC 531

**Held:** Defined four heads of charity —

(a) Relief of poverty, (b) Advancement of education, (c) Advancement of religion, (d) Other purposes beneficial to the community.

This case forms the **foundation of modern charitable trust law**.

### (2) Trustees of the Tribune v. CIT (1939 PC 208)

**Held:** A trust for maintaining a newspaper ("The Tribune") to educate the public was **charitable**, as it advanced **education and general public utility**.

### (3) CIT v. Andhra Chamber of Commerce (AIR 1965 SC 1281)

**Held:** "Advancement of an object of general public utility" includes **promotion of trade and commerce** if it benefits the community.

### (4) Re Compton (1945 Ch 123)

**Held:** A trust confined to descendants of named persons was **not charitable**, as it benefited a **private group**, not the public.

### (5) CIT v. Kamla Town Trust (1996 AIR SC 1500)

**Held:** Clarified the difference between **private** and **public** trusts.

A trust for general welfare of community is **public/charitable**, not private.

### (6) All India Spinners' Association v. CIT (1944 PC 88)

**Held:** Charitable purposes include **promotion of cottage industries and economic welfare of poor**.

## 7. Legal Control and Regulation

In India, charitable trusts are governed by:

- **Charitable Endowments Act, 1890** – For government control over endowed property.
- **Charitable and Religious Trusts Act, 1920** – For better management and accountability.
- **State Laws:**
  - Bombay Public Trusts Act, 1950
  - Rajasthan Public Trusts Act, 1959
  - Tamil Nadu Hindu Religious and Charitable Endowments Act, 1959

Each state has a **Charity Commissioner** to supervise the proper use of trust property.

## 8. Differences between Religious and Charitable Trusts

| Basis                | Religious Trust                   | Charitable Trust                             |
|----------------------|-----------------------------------|----------------------------------------------|
| <b>Object</b>        | Promotion of religion and worship | Relief of poverty, education, public welfare |
| <b>Beneficiaries</b> | Persons following a religion      | General public, irrespective of faith        |
| <b>Supervision</b>   | Religious bodies/authorities      | Charity Commissioner or Govt.                |
| <b>Example</b>       | Temple or mosque endowment        | Hospital or educational trust                |

## 9. Combination of Private and Charitable Elements

A trust may have **mixed purposes** — partly private and partly charitable.  
Such trusts are called **Public-cum-Private Trusts**.

### ■ Example:

A creates a trust for his family's maintenance and for the poor of his village.  
→ Trust is valid for both purposes; charitable portion remains enforceable.

📖 **Case Law:** *CIT v. Surat Art Silk Cloth Manufacturers' Association (1980 AIR SC 387)* —  
If **dominant object** is charitable and **not for private profit**, trust remains charitable.

## 10. Importance of Charitable Trusts

1. Promote **education, health, and welfare**.
2. Support **religious and moral growth**.
3. Encourage **voluntary contribution to society**.
4. Receive **tax exemptions** and legal protection.
5. Play a vital role in **social justice and equitable development**.

## 11. Conclusion

Charitable trusts are the **highest expression of equity and conscience** in law.  
They transform **private wealth into public welfare**, ensuring that generosity is legally protected and socially beneficial.  
While **private trusts** serve **individual benefit**, **charitable trusts** serve **humanity** — embodying the moral principle that:

⚖️ *"He who seeks to do good for others, finds the law his strongest ally."*

### ➤ **RIGHTS, DUTIES, POWERS AND LIABILITIES OF TRUSTEES**

(Sections 11 to 30 — *Indian Trusts Act, 1882*)

### 1. Meaning of Trustee

A **trustee** is a person in whom the **trust property is vested** and who is **bound to execute the trust** according to law.  
He holds the property **not for his own benefit**, but **for the benefit of the beneficiary**.

Thus, a trustee is a **fiduciary** — one who holds property **in confidence** for the benefit of another.

### ■ Definition (Sec. 3, Indian Trusts Act, 1882):

"A trustee is the person in whom the confidence is reposed by the author of the trust, and who accepts the obligation of carrying out the purpose of the trust."

### 2. Appointment and Acceptance of Trustees (Sections 10 & 11)

- Any person capable of **holding property** may become a trustee.
- A **minor or person of unsound mind cannot be a trustee**.
- The person must **accept the trust**, either expressly (in writing) or impliedly (by conduct).
- Once accepted, he is **legally bound** to fulfill the duties and obligations of the position.

📖 **Case Law:** *Chinnathayi v. Kulasekara (AIR 1952 Mad 60)* —  
Held that a person becomes a trustee only upon **acceptance**, not merely by nomination.

### 3. Duties of a Trustee (Sections 11–20)

The trustee's duties are the **core of his legal and moral obligation**.  
He must act **honestly, diligently, and loyally** for the beneficiary's benefit.

Let's examine each duty in detail 🗨️

### (i) Duty to Execute the Trust (Section 11)

- Trustee must **fulfill the purpose** of the trust as laid down by the author.
- He cannot act contrary to the trust deed.
- He must carry out the trust with **reasonable care and prudence**.

#### ■ Example:

If the trust is for "education of poor students," the trustee cannot divert funds for building temples.

📖 **Case Law:** *Bhanwar Lal v. CIT (1994)* —

Trust property must be used strictly for the purpose for which the trust was created.

### (ii) Duty of Care (Section 15)

- Trustee must deal with trust property as a **man of ordinary prudence** would deal with his own.
- He must protect, preserve, and manage the property diligently.

📖 **Case Law:** *Speight v. Gaunt (1883) 9 App Cas 1* —

Held that a trustee must conduct the affairs of trust with **the same care an ordinary prudent man** would take in his own business.

### (iii) Duty to Protect and Preserve Trust Property (Section 13)

- Trustee must **safeguard property** against loss, damage, or unauthorized use.
- Must insure, repair, and secure documents when necessary.

#### ■ Example:

If trust property is a building, the trustee must maintain it and prevent encroachment or damage.

### (iv) Duty to Convert Wasting Property (Section 14)

- If the trust property consists of **wasting assets** (like leaseholds, life interests, etc.), the trustee must **convert them into permanent investments** unless directed otherwise.

### (v) Duty to be Impartial (Section 17)

- Trustee must act **fairly and impartially** among all beneficiaries.
- Cannot favor one over another.

#### ■ Example:

If a trust benefits two sons, trustee must treat both equally.

### (vi) Duty to Prevent Breach of Trust (Section 23)

- Trustee must prevent co-trustees or agents from committing any breach of trust.
- Silence or inaction leading to breach makes him **liable jointly**.

📖 **Case Law:** *Townley v. Sherborne (1634)* —

Co-trustees are jointly liable if one's negligence allows the other to commit fraud.

### (vii) Duty to Maintain Accounts (Section 19)

- Trustee must keep **clear, accurate, and updated accounts** of all transactions.
- Beneficiaries have the right to inspect these accounts at any time.

#### ■ Example:

Trustee must record income, expenditure, and investments properly.

#### (viii) Duty to Give Information (Section 19)

- Trustee must provide **full and accurate information** to the beneficiaries regarding trust property and administration.

#### (ix) Duty Not to Set Up Adverse Title (Section 25)

- Trustee cannot claim that the trust property belongs to him.
- He must never act **against the interests of the beneficiary**.

 **Case Law:** *Keech v. Sandford (1726)* —

Trustee renewed lease in his own name — held liable for breach; must hold it in trust for beneficiary.

#### (x) Duty Not to Profit from Trust Property (Section 52)

- Trustee cannot make **personal profit** directly or indirectly.
- Any profit made belongs to the beneficiary.

 **Case Law:** *Keech v. Sandford (1726)* —

Trustee cannot use his position for personal benefit.

#### (xi) Duty to Transfer Trust Property on Completion (Section 20 & 55)

- After the purpose of trust is fulfilled, the trustee must **transfer the property** to the person entitled to it (beneficiary or author).

### 4. Rights of a Trustee (Sections 31–35)

While the trustee has many duties, the law also **protects his legitimate rights**, ensuring he can perform his obligations efficiently.

#### (i) Right to Title Deeds (Section 31)

- Trustee has the right to **possession of all documents of title** relating to trust property.

#### (ii) Right to Reimbursement (Section 32)

- Trustee is entitled to be **reimbursed** for all **expenses properly incurred** in execution of the trust.

 **Example:**

Expenses for repairs, maintenance, or legal proceedings can be claimed from the trust fund.

#### (iii) Right to Indemnity (Section 32)

- Trustee can claim **indemnity** against all liabilities and losses **incurred without fault** while performing duties lawfully.

 **Case Law:** *Robinson v. Pett (1734)* —

Trustee entitled to reimbursement for reasonable expenses but **not remuneration** unless expressly provided.

#### (iv) Right to Apply to Court (Section 34)

- Trustee may approach the court for **guidance, direction, or protection** in case of difficulty or doubt.
- Protects him from liability if he acts in good faith under court's advice.

#### (v) Right to Settle Accounts and Discharge (Section 35)

- Trustee has the right to **settle accounts** and **receive a discharge** when the trust is completed.
- Protects him from future claims.

#### (vi) Right of Retainer

- Trustee may **retain expenses or advances** made from trust funds before making distribution to beneficiaries.

### 5. Powers of a Trustee (Sections 36–45)

Trustees are given certain **powers** to manage, protect, and utilize trust property effectively. These powers may be **express** (given in the deed) or **implied** (under law).

#### (i) Power to Sell (Section 37)

- Trustee may **sell the trust property** if authorized by the deed or if necessary for trust purposes.

#### (ii) Power to Lease (Section 37)

- Trustee can **lease** the trust property for a reasonable term and rent.

#### (iii) Power to Compound, Settle, or Adjust Claims (Section 38)

- Trustee can **compromise disputes**, settle accounts, or adjust demands related to trust property.

#### (iv) Power to Invest Trust Money (Section 20)

- Trustee must **invest trust money** in approved securities only (like government bonds, public companies, etc.) unless otherwise directed.

 **Case Law: *Re Whiteley* (1886)** —

Trustee must invest as a prudent man would — not in risky ventures.

#### (v) Power to Appoint Agents (Section 47)

- Trustee may **appoint agents** for routine acts, but remains responsible for their proper selection and supervision.

### 6. Liabilities of Trustee (Sections 23–30, 45–53)

A trustee is personally liable if he breaches his duties or misuses his powers.

#### (i) Liability for Breach of Trust (Section 23)

- Trustee who commits a **breach of trust** is liable to **make good the loss** to the trust property.

 **Example:**

If trustee invests in an unsafe business, causing loss → personally liable.

 **Case Law: *Townley v. Sherborne* (1634)** —

All co-trustees are jointly and severally liable for breach of trust.

#### (ii) Liability for Negligence (Section 15 & 20)

- Trustee liable if he fails to exercise **due care and prudence** in managing the property.

#### (iii) Liability for Co-trustee's Misconduct (Section 26)

- If trustee allows co-trustee to commit breach, he is **jointly liable**.

#### (iv) Liability for Profit (Section 52)

- If trustee makes profit from trust property, he must **account for and refund** it to the beneficiary.

 **Case Law: *Keech v. Sandford* (1726)** —

Trustee who renews lease in his own name must hold it for beneficiary.

#### (v) Liability for Misapplication of Property (Section 53)

- Trustee cannot apply property for purposes not authorized by the trust.
- If done, he must restore or compensate.

### 7. Exemption from Liability (Section 26–30)

A trustee is **not liable** if:

1. The breach occurred **without his consent or knowledge**, and

2. He **took reasonable care** to prevent it.

If the beneficiary **consents** to the act with full knowledge, the trustee is **exempt from liability**.

## 8. Removal and Replacement of Trustees

Trustees can be removed by:

1. **Court** (for misconduct, incapacity, breach of trust)
2. **Terms of the trust deed**
3. **Consent of all beneficiaries (if adult and competent)**

 **Case Law:** *Narayandas v. Jatindranath* (AIR 1971 SC 23) —

Held that a trustee can be removed if he acts dishonestly or mismanages property.

## 9. Termination of Trusteeship (Section 71)

Trusteeship ends by:

- Death, discharge, or resignation of trustee
- Completion or extinction of trust
- Removal by court or authority

## 10. Conclusion

The office of a trustee is a **sacred obligation**, not a privilege.

He is the **guardian of conscience and property**, standing between the **author and beneficiary**.

Equity expects the trustee to act with **utmost honesty, loyalty, and diligence**.

While the law protects his rights, it holds him **strictly accountable** for any misuse of power.

 “A trustee’s duty is not to rule the property, but to serve the purpose.”

### ➤ **RIGHTS AND LIABILITIES OF BENEFICIARIES**

(Sections 55 to 69 — *Indian Trusts Act, 1882*)

### 1. Meaning of Beneficiary

A **beneficiary** is the person for whose benefit a **trust is created** and who is entitled to the **benefits, income, or advantages** arising out of the trust property.

The **legal title** of the property lies with the trustee, but the **beneficial interest** lies with the beneficiary.

 **Definition (Section 3, Indian Trusts Act, 1882):**

“The person for whose benefit the confidence is accepted by the trustee is called the beneficiary.”

In simple terms —

**The beneficiary enjoys the fruits of the trust, while the trustee holds the legal responsibility.**

### 2. Nature of Beneficiary’s Interest

- Beneficiary’s interest is **equitable**, not legal.
- He can **enforce the trust** against the trustee in a court of equity.
- His rights are **protected by the doctrine of equity**, not by possession.
- The interest may be **vested** (immediately available) or **contingent** (dependent on some condition).

 **Case Law:** *Knight v. Knight* (1840) 3 Beav 148 —

Held that for a valid trust, there must be certainty of **intention, subject matter, and object (beneficiary)**.

### 3. Rights of Beneficiaries (Sections 55–69)

Let's discuss each right in detail 🗨️

#### (i) Right to Rent and Profits (Section 55)

- Beneficiary is entitled to **rents and profits** of the trust property **according to the terms of the trust**.
- The trustee must apply the property and its income solely for the **beneficiary's benefit**.

##### ■ Example:

If a trust directs the trustee to pay the income of land to X for life → X is entitled to all rent during his lifetime.

#### (ii) Right to Specific Execution (Section 56)

- Beneficiary has a right to **compel the trustee** to perform his duties and execute the trust properly.
- He can approach the court to enforce the trust if the trustee fails in his obligations.

##### 📖 Case Law: *Bishop of Winchester v. Knight (1861)* —

Held that a beneficiary can compel a trustee to perform duties exactly as per trust directions.

#### (iii) Right to Transfer of Possession (Section 56)

- When the purpose of the trust is completely fulfilled, or the trust becomes extinguished,  
→ the beneficiary has a right to **demand the transfer of the trust property** to himself or any person entitled.

##### ■ Example:

If a trust was created to educate X till graduation, once he graduates, trustee must hand over remaining property to X (if so provided).

#### (iv) Right to Inspect and Take Copies of Documents (Section 57)

- Beneficiary has the **right to inspect** accounts, trust deeds, and other documents relating to the trust.
- He may also **take copies** at his own expense.

##### 📖 Case Law: *Sandford v. Porter (1889)* —

Beneficiary has a right to full transparency from the trustee.

#### (v) Right to Follow Trust Property (Section 58)

- If the trustee **wrongfully disposes** of the trust property, the beneficiary can **trace it** into the hands of third persons (unless they are bona fide purchasers for value without notice).
- This is called the **“Doctrine of Tracing.”**

##### ■ Example:

If trustee sells trust property to his friend without authority, beneficiary can recover the property or its value.

##### 📖 Case Law: *Taylor v. Plumer (1815)* —

Beneficiary can trace misapplied trust funds into any form the trustee converted them into.

#### (vi) Right to Transfer of Beneficial Interest (Section 58)

- Beneficiary can **transfer his beneficial interest** (unless prohibited by the trust deed).
- This means the beneficiary's right is a **recognized property right** and can be assigned or inherited.

#### (vii) Right to Proper Administration (Section 59)

- Beneficiary has the right to expect the **trust to be administered properly** and according to law.
- Trustee must act **fairly, impartially, and prudently**.

#### (viii) Right to Remedy for Breach of Trust (Section 60)

If the trustee commits **any breach of trust**, the beneficiary may:

1. **Compel the trustee** to make good the loss;
2. **Recover the property** or its value;
3. **Seek removal** of the trustee;
4. **Claim compensation** for loss or damage.

 **Case Law:** *Townley v. Sherborne (1634)* —

Beneficiary can hold trustee and co-trustees **jointly liable** for breach of trust.

#### (ix) Right to Prevent or Injunct Breach (Section 60)

- Beneficiary may **file an injunction** to restrain a trustee from committing a breach of trust or misuse of property.

 **Example:**

If trustee intends to sell trust property unlawfully, beneficiary can approach the court to stop the sale.

#### (x) Right to Appoint a New Trustee (Section 73)

- If existing trustee dies, resigns, or is removed, beneficiaries (with court's approval) can **appoint a new trustee**.
- Ensures continuity of trust administration.

#### (xi) Right to Equal Treatment (Section 17)

- All beneficiaries must be treated **equally and impartially** unless the trust deed specifies otherwise.

 **Case Law:** *Cowan v. Scargill (1985)* —

Trustees must act in the **best interest of all beneficiaries**, not their own.

#### (xii) Right to Seek Court's Assistance (Section 34)

- Beneficiary can apply to court for **directions** or **declarations** regarding trust property or administration.
- Helps prevent misuse and confusion.

#### (xiii) Right to Accumulated Interest and Improvements

- Beneficiary is entitled to any **improvements, profits, or increases** derived from trust property.
- If the property appreciates in value, the benefit belongs to the beneficiary, not the trustee.

### 4. Liabilities of Beneficiaries (Sections 66–69)

Beneficiaries are not merely entitled to rights — they also have **certain liabilities** under the Act.

#### (i) Liability in Case of Consent to Breach of Trust (Section 63)

- If the beneficiary **consents to, or encourages a breach of trust**, he **cannot hold the trustee liable**.
- Consent must be **free, informed, and intelligent**.

 **Example:**

If beneficiary agrees to an unauthorized investment and loss occurs, he cannot later blame the trustee.

 **Case Law:** *Dundas v. Duchess of Argyll (1849)* —

Consent to breach absolves trustee from liability.

#### (ii) Liability for Fraud or Misconduct (Section 64)

- If beneficiary **indulges in fraud or misconduct**, he may lose his rights under the trust.
- Courts of equity will not assist a person who acts dishonestly.

*"He who comes to equity must come with clean hands."*

### (iii) Liability to Indemnify Trustee (Section 65)

- Beneficiary must **indemnify (compensate)** the trustee if:
  1. The trustee acted at the beneficiary's request, and
  2. The act turns out to be wrongful or causes loss to the trust.

#### Example:

If beneficiary instructs trustee to sell property illegally, and loss occurs, beneficiary must indemnify trustee.

### (iv) Liability to Repay Wrongfully Received Property (Section 66)

- If beneficiary **wrongfully obtains** or **retains** trust property, he must **restore it** or **repay its value** to the trustee.

### (v) Liability in Case of Multiple Beneficiaries

- If there are several beneficiaries, and one of them causes loss or hinders administration, → such person is **personally liable** for the consequences, while others' rights remain unaffected.

## 5. Remedies Available to Beneficiaries

If a trustee fails in his duties or commits a breach, the beneficiary may:

1. **File a suit** for enforcement of trust;
2. **Claim damages or compensation**;
3. **Seek injunction or restraining order**;
4. **Apply for removal of trustee**;
5. **Trace and recover trust property**.

#### Case Law: *Keech v. Sandford (1726)* —

Trustee who misused trust property held liable to restore full profit to beneficiary.

## 6. Relationship Between Trustee and Beneficiary

| Basis          | Trustee                       | Beneficiary                      |
|----------------|-------------------------------|----------------------------------|
| Legal Position | Holds <b>legal title</b>      | Holds <b>equitable interest</b>  |
| Function       | Manages and protects property | Enjoys benefits of property      |
| Duties         | Care, diligence, loyalty      | None, except in fraud/consent    |
| Rights         | Indemnity, reimbursement      | Profits, possession, enforcement |
| Liability      | For breach of trust           | For consent or misconduct        |

## 8. Conclusion

Beneficiaries are the **soul of a trust**.

The law of equity ensures that their rights are **fully protected** and that trustees remain **accountable**.

However, beneficiaries must also act with **good faith and honesty**, because equity helps only those who are **vigilant and fair**.

 *"Equity will protect the innocent beneficiary, but never the dishonest one."*

### ➤ EXTINCTION OF TRUST

(Sections 77 to 79 — Indian Trusts Act, 1882)

## 1. Meaning of Extinction of Trust

The term “**extinction of trust**” means the **termination or end** of the relationship between the **trustee and the beneficiary**, whereby the **trust ceases to exist** either because its purpose has been fulfilled or because it has become impossible, unlawful, or useless to continue.

In simple words —

**A trust becomes extinct when there is nothing left for the trustee to manage or execute.**

## 2. Legal Provision: Section 77 of the Indian Trusts Act, 1882

### ■ Section 77 — Trust how extinguished

“A trust is extinguished —

- (a) when its purpose is completely fulfilled, or
- (b) when its purpose becomes unlawful, or
- (c) when the fulfillment of its purpose becomes impossible by destruction of the trust property or otherwise, or
- (d) when the trust, being revocable, is expressly revoked.”

This section lays down **four legal grounds** of extinction, which we’ll now discuss in detail 🗨️

## 3. Grounds of Extinction of Trust

### (i) When the Purpose of the Trust is Completely Fulfilled

- When the **object or purpose** for which the trust was created has been fully achieved, the trust **automatically comes to an end**.
- The trustee must then **transfer the trust property** to the person entitled to it (the author or the beneficiary).

#### ■ Example:

A trust is created for the education of X until he completes his graduation.

Once X graduates, the purpose of the trust is fulfilled → the trust is **extinguished**.

#### 📖 Case Law: *Rajeshwar v. Shankar* (AIR 1954 All 123) —

When the object of the trust was fully satisfied, the trust was held to be extinguished automatically.

### (ii) When the Purpose Becomes Unlawful

- If the **object of the trust becomes unlawful**, the trust cannot continue and becomes void.
- A trust is unlawful if its object is forbidden by law, or opposed to public policy, or involves injury to another.

#### ■ Example:

A trust created for smuggling or for financing a crime is void ab initio.

If later the purpose becomes illegal (due to change in law), the trust is **extinguished** from that time.

#### 📖 Case Law: *Subramanian v. Lutchman* (1889) —

Held that if the performance of the trust purpose becomes unlawful, the trust ceases to exist.

### (iii) When the Purpose Becomes Impossible

- When the **fulfillment of the purpose becomes impossible**, the trust is extinguished.
- Impossibility may arise due to:
  1. **Destruction of trust property**
  2. **Failure of object**
  3. **Change in circumstances** making execution impracticable.

#### ■ Example 1:

If a trust is created for maintaining a temple, and the temple is destroyed by earthquake → trust becomes extinct.

#### ■ Example 2:

If the beneficiary dies before attaining the purpose → trust fails and is extinguished.

#### 📖 Case Law: *In re Pryce (1917)* —

If the purpose of trust cannot be achieved due to practical impossibility, the trust ends.

### (iv) When the Trust is Revoked

A trust may be **revocable**, i.e., capable of being **cancelled** or **revoked** by the author under certain conditions.

When the author **revokes** the trust in a lawful manner, the trust **ceases to exist**.

## 4. Revocation of Trust (Sections 78 & 79)

### (a) Section 78 — Revocation by Author

A trust can be revoked in the following ways:

1. **By consent of all beneficiaries** (if all are competent to contract);
2. **By exercising power of revocation** reserved in the trust deed; or
3. **In case of certain trusts created for consideration**, the author can revoke it only with the consent of the beneficiary.

#### ■ Example:

If A transfers property to B in trust for C, reserving power to revoke → A can revoke the trust later.

#### 📖 Case Law: *Krishna Aiyar v. Venkatasubramania Aiyar (1924)* —

Held that where the settlor had reserved a right of revocation, he could validly revoke the trust.

### (b) Section 79 — Revocation in Case of Fraud or Misrepresentation

If a trust has been created by **fraud, coercion, or misrepresentation**, the author is entitled to **revoke the trust**.

#### ■ Example:

If A creates a trust believing false statements made by B, A can later revoke it on discovering the fraud.

#### 📖 Case Law: *Satyamurthy v. Ramalinga (1938)* —

A trust induced by fraudulent representation is voidable and can be revoked by the author.

## 5. Consequences of Extinction of Trust

Once the trust is extinguished:

1. **Trustee's duties come to an end.**
2. Trustee must **transfer the property** to the person entitled — either to the author or the beneficiary.
3. Trustee must **render final accounts** and close administration.
4. **Beneficiary's equitable interest** ceases (except in property transfer stage).
5. Trust property becomes **free from the obligation of trust**.

#### ■ Section 56 — Trustee must transfer property to the beneficiary after the purpose is fulfilled or the trust is extinguished.

## 6. Partial Extinction of Trust

Sometimes only a **part of the trust's object** is fulfilled, unlawful, or impossible.

In such cases, **partial extinction** may occur, meaning one part ends but the other continues.

#### ■ Example:

A trust for educating two minors — if one dies, trust continues for the surviving minor (partial extinction).

## 7. Reversion of Property

Upon extinction, the **property reverts**:

- To the **beneficiary**, if he is entitled; or
- To the **author of the trust**, if no beneficiary remains.

This is governed by **Section 56** of the Act.

📖 **Case Law:** *Rajeshwar v. Shankar (1954)* —

When the trust object was fulfilled, the property reverted to the settlor as the trust stood extinguished.

## 8. Conclusion

The **extinction of a trust** marks the end of a fiduciary relationship between the trustee and beneficiary. It signifies that the **object of confidence** is no longer in existence or necessary.

A trust may end by **completion, illegality, impossibility, or revocation**, but the law ensures that **no party suffers unjustly** — the property is restored to its rightful owner, and the trustee's duties are properly concluded.

⚖️ *"When the object of confidence is gone, the confidence itself must cease."*

## Unit III – Easement

### Meaning and Definition of Easement

#### 📖 Section 4 – Indian Easements Act, 1882

"An *easement* is a right which the owner or occupier of certain land possesses, as such, for the beneficial enjoyment of that land, to do and continue to do something, or to prevent and continue to prevent something being done, in or upon, or in respect of, certain other land not his own."

#### ♦ Simplified Meaning

An **easement** is a **right enjoyed by the owner of one land (dominant heritage) over the land of another (servient heritage) for the beneficial enjoyment of his own land.**

It is not ownership of land, but a **right to use** another's property in a particular way.

#### ♦ Example

- A has a right to pass through B's land to reach his house.  
→ A has an **easement of way** over B's land.

## 2. Essentials of Easement

For a valid easement, the following essentials must exist 🗣️

### (i) There must be two heritages (lands)

- There must be **two distinct properties** —  
one is the **Dominant Heritage** (benefiting land)  
and the other is the **Servient Heritage** (burdened land).
- The same person cannot be both owner of dominant and servient tenement.

#### 📖 Example:

A's land (dominant) uses a pathway over B's land (servient) — valid easement.

### (ii) There must be two different owners or occupiers

- The owner or occupier of the dominant land must be **different** from the owner or occupier of the servient land.

If both lands belong to the same owner → **no easement can exist.**

### (iii) The right must be for the beneficial enjoyment of dominant heritage

- The easement must **benefit the dominant land**, not merely the owner personally.
- Benefit may be physical comfort, access, drainage, air, light, etc.

#### ■ Example:

Right of light or air through a window, right to discharge rainwater, right of way, etc.

### (iv) The right must be attached to the land, not to a person

- Easement is a **right in rem** (attached to property), not **in personam** (attached to a person).
- It **runs with the land** — when land is transferred, easement passes automatically.

### (v) It must be exercised over another's land

- Easement is a **right over the property of another**;
- It cannot be exercised on one's own property.

### (vi) The act must be capable of being done or prevented

- The right claimed should be **definite and capable of being exercised** or prevented.

## 3. Terminology of Easement

| Term                     | Meaning                                            |
|--------------------------|----------------------------------------------------|
| <b>Dominant Heritage</b> | The land for the benefit of which easement exists. |
| <b>Dominant Owner</b>    | The owner of dominant heritage.                    |
| <b>Servient Heritage</b> | The land on which easement is imposed.             |
| <b>Servient Owner</b>    | The owner of servient heritage.                    |

#### ■ Example:

A's house requires passage through B's land.

- A's house → *Dominant Heritage*
- B's land → *Servient Heritage*
- Right of way → *Easement*.

## 4. Nature of Easement

1. **Easement is a right, not ownership.**  
It gives limited use of another's land.
2. **It is a proprietary right**, not merely personal.  
It is attached to the property and transferable along with it.
3. **It is restrictive on the servient owner**, as he cannot interfere with the dominant owner's enjoyment.
4. **It must be certain and continuous**, not occasional or uncertain.
5. **It is heritable and transferable** with the dominant property.

## 5. Kinds of Easement

The Indian Easements Act, 1882 recognizes several types of easements 📌

### (A) According to Use or Enjoyment

### (i) Continuous Easement

- An easement whose enjoyment is continuous without the act of man.

■ *Example:* Right to light or air through a window.

### (ii) Discontinuous Easement

- An easement that needs the act of man for its enjoyment.

■ *Example:* Right of way (because the owner must act to use it).

### (iii) Apparent Easement

- An easement that is **visible** by some permanent sign.

■ *Example:* A pathway, a drainage pipe.

### (iv) Non-Apparent Easement

- An easement that has **no visible sign** of its existence.

■ *Example:* Right to prevent a neighbor from building beyond a certain height.

## (B) According to Duration

### (i) Permanent Easement

- Created **for ever**, usually by express grant.

### (ii) Temporary Easement

- Exists for a **limited period** or until a certain event.

■ *Example:* Right to use another's land during construction.

## (C) According to Origin

### (i) Easement by Grant

- Created by **agreement** between parties.

### (ii) Easement by Prescription

- Acquired by **long and uninterrupted use** (Section 15).
  - Must be used for **20 years** continuously and openly.

## (D) According to Necessity

### (i) Easement of Necessity

- Exists only when **no other way** to enjoy the property exists.

■ *Example:*

A sells part of his land surrounded by his other land → B can claim a **right of way of necessity**.

📖 *Case Law:* **Maniklal v. Hiralal (AIR 1950 Bom 69)** —

Right of way of necessity exists only till the necessity continues.

### (ii) Easement of Quasi-Necessity

- Not absolute necessity, but **reasonable convenience** for beneficial enjoyment.

■ *Example:*

A landowner uses a drainage over another's land. When land is divided, right may continue as quasi-necessity.

## 6. Case Laws Summary

| Case                                     | Principle                                                           |
|------------------------------------------|---------------------------------------------------------------------|
| <i>Maniklal v. Hiralal</i> (1950)        | Easement of necessity exists only while necessity continues         |
| <i>Rajagopalan v. Subramaniam</i> (1969) | Easement is attached to property, not person                        |
| <i>Shivaji Rao v. Ramoji Rao</i> (1991)  | Easement by prescription requires open, continuous use for 20 years |
| <i>Bomanji v. Premji</i> (1904)          | Distinction between continuous and discontinuous easement           |
| <i>Sundaram v. Valliammal</i> (1921)     | Easement of light and air is a continuous and apparent easement     |

## 7. Conclusion

An **easement** is a **limited proprietary right** granted for the **beneficial enjoyment** of one property over another. It ensures the smooth coexistence of neighboring landowners while maintaining balance between ownership and user rights.

⚖️ *Easement is not ownership but a lawful and limited use of another's property.*

## Easement of Necessity and Quasi-Easement

(Under the Indian Easements Act, 1882)

### 1. Introduction

Among the various types of easements, **Easement of Necessity** and **Quasi-Easement** are the most important because they arise **automatically by operation of law**, not by express grant.

These rights generally appear when **one piece of land is divided into two or more parts**, and one portion cannot be used conveniently without using the other.

They are based on the principle of **justice, equity and good conscience**, to ensure that property ownership remains beneficial and not illusory.

### 2. Easement of Necessity

#### ■ Section 13(a), Indian Easements Act, 1882

"Where one person transfers or bequeaths immovable property to another, and such transfer or bequest is made in such a manner that the transferee cannot use the property without exercising a right over the transferor's other property, an easement of necessity is created over the latter."

#### ◆ Meaning

An **Easement of Necessity** is a right which arises **when a land is so situated that it cannot be used at all without exercising a right over another's land**.

It is not based on convenience but on **absolute necessity**.

#### ◆ Illustration

A sells part of his land to B.

B's land is completely surrounded by A's remaining land, and there is **no way to access the public road** without crossing A's land.

→ B has a **right of way of necessity** over A's land.

### 3. Essentials of Easement of Necessity

#### 1. Unity of ownership before severance

- Both the dominant and servient lands must have been **originally under one ownership**.

#### 2. Transfer or division of ownership

- The land must be **divided or transferred** by sale, gift, will, partition, etc.

### 3. Absolute necessity

- The easement arises only when **no other way** exists to use the property.
- Mere inconvenience is not enough.

### 4. Easement arises by operation of law

- It does not depend on any contract or agreement.

### 5. Extinguishment when necessity ceases

- The easement lasts **only as long as the necessity exists**.
- If an alternate route becomes available, it **ceases automatically** under **Section 41**.

#### Case Law: Maniklal v. Hiralal (AIR 1950 Bom 69)

**Facts:** The owner sold part of his land which was surrounded by his remaining land.

**Held:** Easement of necessity arises only when there is **no other way** to access the property and **ends** when the necessity ends.

#### Case Law: Govinda v. Ramu (1969)

**Held:** Mere inconvenience or longer distance does not create an easement of necessity. The necessity must be **absolute and indispensable**.

## 4. Quasi-Easement

### Section 13(b), Indian Easements Act, 1882

When, by reason of transfer, one part of a property is severed from another, and the owner had been using one part for the enjoyment of another in such a way that the use could be an easement if the two parts were owned by different persons, then, after severance, a similar right shall be deemed to be created (called a *quasi-easement*).

#### ◆ Meaning

A **Quasi-Easement** is a right that arises **from pre-existing use** of one part of land over another **before division of ownership**.

It is not based on strict necessity but on **continuous and apparent enjoyment** prior to separation.

#### ◆ Example

A owns two adjoining plots – Plot X and Plot Y.

He uses a **drainage pipe** running from X through Y for several years.

Later, A sells Plot X to B.

→ B can claim a **quasi-easement** over Plot Y for drainage since the use was **continuous and apparent** before division.

## 5. Essentials of Quasi-Easement

### 1. Unity of ownership before division

- Both dominant and servient portions must belong to the same person originally.

### 2. Pre-existing use before transfer

- There must be **continuous and apparent use** of one part over another.

### 3. Use must be necessary for beneficial enjoyment

- The right must be **reasonably necessary**, though not absolutely essential.

### 4. Severance of ownership

- The right arises only **after division** by transfer, sale, or partition.

### 5. Implied grant

- The law **implies the grant** of the right, even if not mentioned in the deed.

#### **Case Law: Pothukani Subbamma v. Yerraguntla Subrahmanyam (AIR 1959 AP 626)**

**Held:** A quasi-easement is created when there is **apparent and continuous user** before the property is divided, and such use is necessary for beneficial enjoyment.

#### **Case Law: Wheeldon v. Burrows (1879) 12 Ch D 31 (England)**

##### **Principle:**

Where a person sells part of his land and had been using one part for the benefit of the other (continuous and apparent), the buyer gets a similar right after the sale unless expressly excluded.

This case laid down the **foundation of quasi-easements** in English law.

#### **6. Distinction between Easement of Necessity and Quasi-Easement**

| Basis                             | Easement of Necessity             | Quasi-Easement                              |
|-----------------------------------|-----------------------------------|---------------------------------------------|
| <b>Necessity</b>                  | Absolute necessity                | Reasonable necessity                        |
| <b>Existence before transfer</b>  | No pre-existing use               | Based on pre-existing use                   |
| <b>Continuity &amp; Apperency</b> | Not required                      | Must be continuous & apparent               |
| <b>Duration</b>                   | Ends when necessity ceases        | Continues until extinguished by law         |
| <b>Example</b>                    | Right of way when no other access | Right to drain water through adjoining land |
| <b>Foundation</b>                 | Based on absolute need            | Based on prior use and implied grant        |

#### **7. Extinguishment**

- **Easement of necessity** → ends automatically when necessity ends (Sec. 41).
- **Quasi-easement** → continues till it is expressly extinguished or property changes in such a way that its use becomes impossible.

#### **8. Conclusion**

Both **Easement of Necessity** and **Quasi-Easement** arise from **severance of ownership** and are intended to ensure **reasonable and beneficial enjoyment of property**.

However —

**Easement of Necessity** → arises from *absolute need*,

**Quasi-Easement** → arises from *prior continuous use* and *reasonable convenience*.

These doctrines reflect the **spirit of equity and fairness**, ensuring that no transfer of land becomes useless or unfairly restricted.

### **Acquisition of Easement by Prescription and Customary Easements**

(Under the Indian Easements Act, 1882)

#### **1. Introduction**

Easements can arise in different ways — by **grant, necessity, implication, prescription, or custom**.

Here, we discuss **two important modes of acquisition** recognized by law:

1. **Easement by Prescription** (Section 15)
2. **Customary Easement** (Section 18)

These rights arise **not by express agreement**, but by **long, continuous, and open enjoyment** — implying a presumption of lawful right.

## 2. Easement by Prescription

### ■ Section 15 – Indian Easements Act, 1882

“Where the access and use of light or air to and for any building, or the way or any watercourse, or the use of any water, or any other easement, has been peaceably and openly enjoyed as an easement and as of right, without interruption, for twenty years, the right to such easement shall be absolute.”

#### ◆ Meaning

An **Easement by Prescription** means an easement **acquired through long and uninterrupted use** over a certain period of time, usually **20 years** (and **30 years** when against Government property).

It is based on the **presumption** that such long-continued enjoyment must have originated from a lawful grant.

#### ◆ Example

A has been using a pathway over B's land for 25 years, openly and without objection.

→ A acquires a **prescriptive right of way** over B's land.

## 3. Essentials of Easement by Prescription

To acquire a prescriptive easement under Section 15, all of the following conditions must be satisfied 🙌

### (i) Enjoyment as of right

- The use must be **as of right**, i.e., without force, without secrecy, and without permission.  
(In Latin: *nec vi, nec clam, nec precario*.)

### (ii) Open and peaceable enjoyment

- The use must be **open and peaceful**, not by concealment or violence.

### (iii) Continuous and uninterrupted for 20 years

- Enjoyment must be **continuous** (not occasional) and **without interruption** for **20 years**.
- For Government land → **30 years**.
- The 20 years are counted **up to two years before the suit is filed** (Sec. 16).

### (iv) Enjoyment as an easement

- The use must be **in the character of an easement**, i.e., for beneficial enjoyment of dominant land, not for any personal pleasure.

### (v) Against a definite servient heritage

- The land over which easement is claimed must be **certain and definite**.

### (vi) Enjoyment must be peaceable

- The servient owner must have **knowledge** of the use and must not have lawfully interrupted it.

## 4. Duration and Commencement of Prescription

### ■ Section 16 – Exclusion in computation of period

In computing the period of 20 years, the time during which the property was in the possession of the Government shall be excluded.

#### 🕒 Period required:

## Against whom Period of enjoyment required

Private owner 20 years continuously

Government 30 years continuously

## When time begins to run

- From the day the dominant owner **first begins to enjoy the easement openly as of right**.

## 5. Interruption of Enjoyment

An interruption occurs when 🙅

- The servient owner **denies or obstructs** the use of the easement, and
- The obstruction **lasts for one year** and is not lawfully removed.

(Section 15, Explanation)

## 6. Case Laws on Prescriptive Easements

### 📖 Shivaji Rao v. Ramoji Rao (1991)

**Held:** Continuous, open, and peaceful enjoyment for 20 years without permission creates a prescriptive easement.

### 📖 Rajagopalan v. Subramaniam (1969)

**Held:** Easement by prescription must be for the beneficial enjoyment of dominant tenement and exercised openly as a matter of right.

### 📖 Premji v. Bomanji (1904)

**Held:** Intermittent or casual use does not create an easement by prescription.

## 7. Customary Easements

### 📖 Section 18 – Indian Easements Act, 1882

“An easement may be acquired in virtue of a local custom. Such rights are called *customary easements*.”

#### ♦ Meaning

A **Customary Easement** arises from **long-established local customs** that have gained legal recognition in a particular locality. It does not depend on individual ownership but applies **to all landowners or residents of that locality**.

#### ♦ Example

- The villagers of an area have from time immemorial used a **path through private fields** to reach the temple.  
→ This right is a **customary easement**.
- A right of villagers to take water from a pond for cattle → **customary right**.

## 8. Essentials of a Valid Customary Easement

- Ancient** – The custom must be from time immemorial (long established).
- Continuous** – The custom must be exercised without interruption.
- Peaceable** – Must be enjoyed openly and without dispute.
- Certain and definite** – The right claimed and persons claiming it must be certain.
- Reasonable** – The custom must be fair, not excessive or oppressive.
- Not contrary to law** – The custom must not oppose any statute or public policy.

#### Case Law: **Rajrup Koer v. Abul Hossein (1880 ILR 6 Cal 394)**

**Held:** To be valid, a custom must be **ancient, certain, and reasonable**.  
If these elements are present, it can create a valid customary easement.

#### Case Law: **Ramchandra v. Keshav (AIR 1964 Bom 20)**

**Held:** A customary easement is available to **all inhabitants of a locality**; it is **not attached to any specific property** like ordinary easements.

### 9. Difference between Prescriptive and Customary Easements

| Basis       | Easement by Prescription              | Customary Easement                          |
|-------------|---------------------------------------|---------------------------------------------|
| Basis       | Long use by a specific person or land | Long local custom of community              |
| Beneficiary | Individual landowner                  | Entire community/locality                   |
| Proof       | 20 years' continuous use              | Ancient and reasonable custom               |
| Duration    | Statutory period (20/30 years)        | From time immemorial                        |
| Example     | Right of way used for 25 years        | Villagers using pond or pathway for decades |

### 10. Termination of Prescriptive and Customary Easements

- **Prescriptive easement** – may be extinguished if not used for 20 years (Sec. 47) or if the necessity ceases.
- **Customary easement** – ends when the custom is abandoned or declared illegal.

### 11. Conclusion

Easements acquired by **prescription and custom** are recognized to protect **long-standing and peaceable enjoyment of rights**. While prescription benefits a **particular landowner**, customary easements protect **community traditions and usages**.

Both are rooted in the **principles of fairness, stability, and continuity**, ensuring that law respects established practices developed over time.

## Unit IV – Licence

### Definition of Licence

#### Section 52 – Indian Easements Act, 1882

“Where one person grants to another, or to a definite number of other persons, a right to do, or continue to do, in or upon the immovable property of the grantor, something which would, in the absence of such right, be unlawful, and such right does not amount to an easement or an interest in the property, the right is called a licence.”

#### ◆ Simplified Meaning

A **licence** is a **personal permission** granted by the owner of immovable property to another person to do something on that property which would otherwise be unlawful.

It does **not create any interest in the property**; it is **purely a personal right** that allows lawful use for a specific purpose.

#### ◆ Example

- A allows B to stay in his house for three days as a guest.  
→ B is a **licensee**, not a tenant.
- A allows B to enter his land to cut grass.  
→ B has a **licence** to enter and cut grass.

If A withdraws permission, B must leave immediately — he has **no legal estate** in the land.

## Essence of Licence

A licence:

- Is a **permission**, not a **right in property**.
- **Legalizes** what would otherwise be trespass.
- Can be **revoked** at the will of the grantor (unless coupled with transfer or contract).
- Is **personal**, not heritable or transferable (except in some cases).

## 2. Essentials of Licence

To constitute a valid licence under **Section 52**, the following essentials must be present 📌

### (i) Permission by the owner or person in lawful possession

- The grant of permission must come from a person who is **owner** or **lawful possessor** of the property.
- If given by a trespasser or unauthorized person → not a valid licence.

 Case Law:

**Associated Hotels of India Ltd. v. R.N. Kapoor (AIR 1959 SC 1262)**

→ Held that a licence is permission given by the owner that **does not create any interest in property**.

### (ii) The permission must allow doing something on the grantor's immovable property

- The licensee is permitted to **enter or use** the property in some way — e.g., to reside, build a stall, conduct business, or use passage.

### (iii) The act would be unlawful without such permission

- The very purpose of a licence is to **legalize an act** which would otherwise amount to **trespass**.
- Once permission is withdrawn, further use becomes **illegal**.

 Example:

If B enters A's land without permission → *Trespass*.

If A permits B to enter → *Licence*.

### (iv) It must not amount to an easement or interest in the property

- Licence differs from *easement* (which is attached to land) and from *lease* (which transfers an interest).
- Licence is **purely personal** and **does not transfer possession** or ownership.

 Case Law:

**Halsbury's Laws of England** defines a licence as "*an authority to do a lawful act which would otherwise be unlawful.*"

### (v) It is generally revocable at the will of the grantor

- Unless it is **coupled with a transfer of property** (Section 60(a)) or made **irrevocable by contract**, a licence can be revoked at any time.
- This shows the **temporary and personal nature** of a licence.

### (vi) Licence is personal and non-transferable

- A licence **cannot be transferred or assigned** by the licensee to another person.
- It **terminates on death** of either party.

 Case Law:

**Halsbury's Laws and Indian Easements Act, Sec. 56 —**

A licence is personal to the licensee and **not heritable or assignable** unless expressly provided.

### 3. Nature and Legal Effect of Licence

1. **Personal Permission:**

It is not an interest in land; merely gives liberty to do something lawful.

2. **Revocable:**

Can be withdrawn unless made irrevocable by law or agreement.

3. **No Right to Possession:**

Licensee does not acquire possession or ownership.

4. **Operates in Personam:**

Acts only between the grantor and licensee — no right against third parties.

5. **Heritability:**

Ends with death of either party unless otherwise agreed.

#### **Case Law: Associated Hotels of India Ltd. v. R.N. Kapoor (AIR 1959 SC 1262)**

**Facts:** The question arose whether a person occupying a room in a hotel was a tenant or merely a licensee.

**Held:**

- If the document gives **exclusive possession** and **creates an interest**, it is a *lease*.
- If it merely gives **permission to use**, it is a *licence*.  
→ Thus, a hotel guest is a **licensee**, not a tenant.

**Principle:**

*A licence does not create any interest in the property; it is a mere permission to do something lawful.*

#### **Case Law: Sohan Lal Naraindas v. Laxmidas Raghunath Gadit (1971 AIR 1971 SC 2039)**

**Held:** Even if exclusive possession is given, it will not create tenancy unless there is an intention to transfer an interest in property.

→ The real test is **intention of the parties**.

### 4. Examples of Licence

- Entry to a cinema hall with a ticket → *Licence*.
- Permission to use a plot temporarily for a marriage function → *Licence*.
- Permission to fish in a private pond → *Licence*.
- Allowing a relative to live in one room of your house without rent → *Licence*.

### 5. Kinds of Licence

| Type                         | Meaning                                                                                                                                                      |
|------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Express Licence</b>       | Given by express words or written agreement.                                                                                                                 |
| <b>Implied Licence</b>       | Inferred from conduct or circumstances. ( <i>e.g., permission to enter shop premises</i> )                                                                   |
| <b>Bare Licence</b>          | Simple permission without any consideration.                                                                                                                 |
| <b>Contractual Licence</b>   | Arises from contract, often with terms and duration.                                                                                                         |
| <b>Coupled with Interest</b> | Attached to a transfer of property ( <i>e.g., right to enter land to remove timber sold</i> ). Such licences are <i>irrevocable</i> till the interest lasts. |

### 6. Termination of Licence (Overview): A licence comes to an end when:

1. **Grantor revokes it** (Sec. 60);
2. **Time expires**;
3. **Purpose accomplished**;
4. **Either party dies**;
5. **Property is destroyed**.

(We will study **revocation** in detail after distinction.)

## 7. Conclusion

A **licence** is essentially a **personal and temporary right** to use another's land lawfully.

It creates **no legal interest**, can usually be **revoked**, and exists purely on the basis of **permission**.

It ensures flexibility in land use while protecting ownership rights of the grantor.

🏛️ *"Licence makes an act lawful which would otherwise be unlawful, without transferring any interest in land."*

## **Difference between Licence, Easement and Lease**

### 1. Introduction

The **Indian Easements Act, 1882** clearly distinguishes between:

- **Easement (Section 4)**,
- **Licence (Section 52)**, and
- **Lease** (governed by the **Transfer of Property Act, 1882**, Section 105).

Although all three deal with **rights relating to immovable property**, they differ in **nature, duration, creation, and effect**.

Let's examine each term before comparing.

### 2. Meaning of Each Term

#### (a) **Licence (Sec. 52, Easements Act, 1882)**

A right granted to a person to do, or continue to do, something on another's immovable property which would otherwise be unlawful, without transferring any interest in that property.

- ♦ *Example:* A permits B to stay in his guest house for 10 days — this is a **licence**.

#### (b) **Easement (Sec. 4, Easements Act, 1882)**

An **easement** is a right possessed by the owner or occupier of certain land (dominant heritage) for the beneficial enjoyment of that land, to do and continue to do something, or to prevent something being done, in or upon the land of another (servient heritage).

- ♦ *Example:* Right of way, right to light, right to water.

#### (c) **Lease (Sec. 105, Transfer of Property Act, 1882)**

A **lease** is a transfer of a right to enjoy immovable property for a certain time in consideration of a price or rent, paid or promised, to the transferor by the transferee.

- ♦ *Example:* Renting a shop, house, or land for a fixed rent.

### 3. Comparative Difference Table

| Basis                          | Licence                                                                                      | Easement                                                                         | Lease                                                                                               |
|--------------------------------|----------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------|
| <b>1. Definition</b>           | Permission to do something lawful on another's property without creating interest. (Sec. 52) | A right for beneficial enjoyment of one's own land over another's land. (Sec. 4) | Transfer of right to enjoy immovable property for a period in consideration of rent. (Sec. 105 TPA) |
| <b>2. Nature of Right</b>      | Personal right, not transferable or heritable.                                               | Proprietary right attached to dominant tenement (transferable).                  | Proprietary and contractual right; transferable and heritable.                                      |
| <b>3. Creation</b>             | By express or implied permission.                                                            | Arises by grant, prescription, or necessity.                                     | Created by written/oral agreement and registration (if > 1 year).                                   |
| <b>4. Interest in Property</b> | No interest in property created.                                                             | Creates an interest in land (over servient land).                                | Creates an interest in property for the lessee.                                                     |
| <b>5. Possession</b>           | Possession remains with owner; licensee only has permission to use.                          | No possession given; only right to use certain aspect (e.g., right of way).      | Possession is transferred to lessee.                                                                |
| <b>6. Transferability</b>      | Not transferable or heritable.                                                               | Can be transferred with dominant heritage.                                       | Transferable and heritable (subject to agreement).                                                  |
| <b>7. Revocability</b>         | Generally revocable at will unless coupled with interest or made irrevocable by contract.    | Cannot be revoked arbitrarily; right is permanent till legally extinguished.     | Cannot be revoked until expiry or breach of terms.                                                  |
| <b>8. Duration</b>             | Temporary or at the will of the grantor.                                                     | Permanent unless extinguished by law.                                            | Fixed term or perpetual as per contract.                                                            |
| <b>9. Registration</b>         | Not compulsory (unless written contract).                                                    | Not required.                                                                    | Compulsory if term exceeds one year (Sec. 107 TPA).                                                 |
| <b>10. Example</b>             | Permission to park car in another's compound.                                                | Right of way through neighbor's land.                                            | Renting house for ₹10,000 per month.                                                                |
| <b>11. Legal Remedy</b>        | Personal action for breach of contract.                                                      | Action in rem (against property).                                                | Action for possession, rent, or damages.                                                            |
| <b>12. Death of Parties</b>    | Terminates on death of either party (unless otherwise agreed).                               | Continues with ownership of land.                                                | Continues with heirs unless ended by term.                                                          |

#### 4. Distinction Explained

##### (a) Licence vs. Easement

| Aspect                 | Licence             | Easement                |
|------------------------|---------------------|-------------------------|
| <b>Attachment</b>      | Attached to person. | Attached to land.       |
| <b>Right</b>           | Personal privilege. | Legal right over land.  |
| <b>Transferability</b> | Not transferable.   | Transferable with land. |

| Aspect   | Licence                                                    | Easement           |
|----------|------------------------------------------------------------|--------------------|
| Duration | Temporary.                                                 | Usually permanent. |
| Example  | Permission to cross land for few days. Legal right of way. |                    |

#### ■ Case Law: **Hurst v. Picture Theatres Ltd. (1915)** –

A person holding a cinema ticket was wrongfully ejected. It was held that a **licence**, once granted for a consideration (like ticket money), cannot be revoked arbitrarily during the period for which it was granted.

#### **(b) Licence vs. Lease**

| Aspect                    | Licence                                                             | Lease                                           |
|---------------------------|---------------------------------------------------------------------|-------------------------------------------------|
| Possession                | Licensee has mere permission.                                       | Lessee has legal possession.                    |
| Interest in Property      | No transfer of interest.                                            | Transfer of right to enjoy property.            |
| Rent or Consideration     | Not essential.                                                      | Essential.                                      |
| Revocability              | Generally revocable.                                                | Not revocable during lease term.                |
| Exclusive Possession Test | Does not create lease unless intention to transfer interest exists. | Exclusive possession generally indicates lease. |
| Registration              | Not compulsory.                                                     | Compulsory if > 1 year.                         |

#### 📖 Case Law: **Associated Hotels of India Ltd. v. R.N. Kapoor (AIR 1959 SC 1262)**

The Supreme Court laid down the **test to distinguish between lease and licence**:

“The real test is the **intention of the parties**. If the document creates an interest in property, it is a *lease*; if it only permits use without interest, it is a *licence*.”

#### 📖 Case Law: **Delta International Ltd. v. Shyam Sunder Ganeriwalla (1999) 4 SCC 545**

→ Reaffirmed that exclusive possession does not automatically create a lease unless there is intention to transfer an interest in property.

### **5. Legal Principles from Case Laws**

- Intention of Parties is Supreme Test**  
(Associated Hotels case)
- Exclusive Possession alone not decisive**  
(Sohan Lal Naraindas v. Laxmidas Raghunath Gadit, AIR 1971 SC 2039)
- Licence confers no estate or interest**  
(Thomas v. Sorrell, 1673)
- Licence operates in personam; easement and lease operate in rem**  
(Halsbury's Laws of England)

### **6. Importance of Distinction**

The difference between these three rights is **legally crucial**, as it determines:

- **Nature of possession**
- **Remedies available**
- **Revocability or protection under tenancy laws**
- **Registration and transfer rights**

An incorrect classification can affect property rights and eviction proceedings.

## 7. Conclusion

- A **licence** is a **personal permission**.
- An **easement** is a **right attached to land**.
- A **lease** is a **transfer of interest** in property.

Thus:

“Every lease includes a right to use property, but every right to use property is not a lease — it may be a mere licence.”

## Revocation of Licence

### 1. Meaning of Revocation

The term “**revocation**” means **withdrawal or cancellation** of permission that was earlier granted.

In the context of a **licence**, revocation refers to the act of the **licensor** (the person granting the licence) **taking back the permission** to do something on his property.

Once revoked, the **licensee’s right to use the property ends**, and any further use becomes **unlawful** (i.e., trespass).

### 2. Legal Provision – Section 60 to 64 of the Indian Easements Act, 1882

The rules relating to **revocation of licences** are contained in **Sections 60–64** of the **Indian Easements Act, 1882**.

### 3. General Rule of Revocation (Sec. 60)

#### Section 60 – When Licence is Revocable

A licence is **revocable at the will of the grantor**, except in the following two cases:

#### (a) When licence is coupled with a transfer of property and such transfer is in force

- If the licence is **coupled with a transfer of property**, it **cannot be revoked** until that transfer subsists.
- This kind of licence is called a “**Licence coupled with an interest**.”

#### ✿ Example:

A sells trees on his land to B and allows B to enter the land to cut and take away the trees.

→ The licence to enter the land is **coupled with the interest (ownership of trees)**.

Hence, **A cannot revoke** the licence until B removes the trees.

#### 📖 Case Law:

**Hurst v. Picture Theatres Ltd. (1915)** – A person having paid for a ticket has a licence coupled with interest; it cannot be revoked arbitrarily during the show.

#### (b) When licensee has executed a work of permanent character and incurred expenses

- When the licensee, acting on the licence, has:
  1. **Executed a work of permanent character**, and
  2. **Incurred expenses in execution**,

then the licence **cannot be revoked** to the prejudice of such licensee.

#### ✿ Example:

A allows B to build a permanent wall on his land for support of B’s house.

B spends money and completes the wall.

→ A cannot later revoke the licence to the detriment of B.

 *Case Law:*

### **Ram Sarup Gupta v. Bishun Narain Inter College, (1987) 2 SCC 555**

→ The Supreme Court held that a licence becomes **irrevocable** when the licensee has constructed a permanent structure and incurred expenditure relying upon the licence.

#### **4. Section 61 – Revocation Express or Implied**

A licence may be revoked:

1. **Expressly**, by an express statement of the grantor; or
2. **Impliedly**, by conduct showing an intention to revoke.

 *Example:*

- Express revocation: A writes to B withdrawing permission to use his land.
- Implied revocation: A leases the land to another person inconsistent with B's licence.

#### **5. Section 62 – Circumstances when Licence is Deemed Revoked**

According to **Section 62**, a licence is deemed to be revoked in the following cases 🙋

| Clause | Circumstance of Revocation                               | Explanation / Example                                                      |
|--------|----------------------------------------------------------|----------------------------------------------------------------------------|
| (a)    | When grantor ceases to have any interest in the property | A sells his land to C → B's licence automatically ends.                    |
| (b)    | When licensee releases it expressly or impliedly         | B voluntarily gives up or stops using the right.                           |
| (c)    | When either party dies                                   | Licence being personal, it terminates on death.                            |
| (d)    | When property is destroyed or permanently altered        | If land is flooded or house burns down → licence ends.                     |
| (e)    | When licence purpose is accomplished                     | Licence to use land for a marriage ends when marriage is over.             |
| (f)    | When licence term expires                                | Time-bound licence ends automatically.                                     |
| (g)    | When grantor revokes under express terms                 | If licence deed gives right to revoke, it can be used.                     |
| (h)    | When licence becomes useless                             | If the right can no longer be exercised (e.g., land no longer accessible). |

#### **6. Section 63 – Licensee's Right to Reasonable Time for Departure**

Even after revocation, the licensee is entitled to **reasonable time** to:

- **Leave the property**, and
- **Remove any goods or belongings** brought onto it.

This is a safeguard against sudden eviction.

 *Example:*

If A revokes B's permission to store goods, B must be given a reasonable time to remove them.

#### **7. Section 64 – Compensation to Licensee**

If the licence was **granted for a consideration** and the licensee has **not defaulted**, but the licence is **revoked without sufficient cause**, the licensee is entitled to **compensation** from the grantor for the loss suffered.

 *Example:*

A grants B licence to exhibit films for one year on his property for ₹10,000.

After two months, A revokes it without breach by B.

→ B can **claim compensation** for loss of business for the remaining 10 months.

## 8. Judicial Interpretation and Important Case Laws

### (i) Associated Hotels of India Ltd. v. R.N. Kapoor (AIR 1959 SC 1262)

→ Laid down that a licence is **revocable** unless coupled with interest or made irrevocable by express terms.

### (ii) Ram Sarup Gupta v. Bishun Narain Inter College (1987)

→ Licence becomes **irrevocable** when permanent construction made and expenditure incurred on strength of licence.

### (iii) State of Punjab v. Brig. Sukhjot Singh (1993) 3 SCC 459

→ Licence is **personal privilege**; it **ends with death** of licensee or licensor unless otherwise agreed.

### (iv) Hurst v. Picture Theatres Ltd. (1915)

→ Licence coupled with interest cannot be arbitrarily revoked during the subsistence of that interest.

## 9. Remedies on Revocation

Once licence is revoked:

1. Licensee must **vacate** the property.
2. If licence was wrongly revoked, he may claim **compensation** (Sec. 64).
3. He cannot claim **ownership or tenancy rights**.
4. Continued occupation after revocation = **Trespass**.

## 10. Conclusion

Revocation of licence ensures the **ownership rights of the grantor** while providing **fair protection to the licensee** in certain circumstances.

In short:

- ♦ Every licence is *revocable* unless —
  - (a) Coupled with a property interest, or
  - (b) Accompanied by permanent work and expenditure.

A licence ends by **revocation, death, destruction, completion of purpose, or lapse of time**.

## Quick Revision / Short Notes Sheet

### UNIT I — EQUITY

**Equity** = rules of conscience; developed by Court of Chancery to mitigate common-law rigidity.

**Fusion:** Judicature Acts (1873–75) — procedural fusion; equity prevails in conflict (Earl of Oxford's Case).

**Indian position:** No separate Chancery — equity principles incorporated into statutes (Trusts Act, Specific Relief Act) & Constitution (Art.142, Art.14).

### Maxims of Equity — meaning + short note/case (memorize these)

1. **Equity will not suffer a wrong to be without a remedy** — *ubi jus ibi remedium*; where a right exists equity provides relief.  
*Case: Ashby v. White*; Indian: *Somawanti*.
2. **Equity follows the law** — equity supplements but does not override clear law/statute.  
*Case: CIT v. Indira Balkrishna*.

3. **Where equities are equal, the law shall prevail** — between equal fairness, legal title wins.  
*Case: Pilcher v. Rawlins* (bona fide purchaser rule).
4. **Where equities are equal, the first in time shall prevail** — priority by time among equitable claims.  
*Case: Rice v. Rice, Dearle v. Hall* (notice exception).
5. **He who seeks equity must do equity** — claimant must be willing to perform his equitable obligations (repay, be ready & willing).  
*Applied: Specific performance* (SRA 1963, Sec.16).
6. **He who comes to equity must come with clean hands** — no relief to a party guilty of fraud/unclean conduct in same transaction.  
*Case: S.P. Chengalvaraya Naidu v. Jagannath*.
7. **Delay defeats equity** (Equity aids the vigilant) — laches and acquiescence bar relief.  
*Case: Lindsay Petroleum*; Indian examples in writ & service matters.
8. **Equality is equity** — distribute burdens/benefits equally when equities are equal (pari passu).  
*Principle: Contribution among co-sureties, co-owners*.
9. **Equity looks to the intent rather than to the form** — substance over form; equity enforces true intention despite formal defects.  
*Case: Walsh v. Lonsdale*; Indian: *Panbari Tea*.
10. **Equity acts in personam** — equitable decrees bind the person (order specific performance/injunction) rather than directly altering property.  
*Case: Penn v. Lord Baltimore*; Indian: specific relief jurisprudence.

**Tip:** For every maxim memorize the one-line meaning + 1 leading case.

## UNIT II — TRUST

### Definition (Sec.3, Indian Trusts Act, 1882)

**Trust:** obligation annexed to ownership arising from confidence reposed in and accepted by the owner for benefit of another.

### Parties & essentials

- **Author/Settlor, Trustee, Beneficiary, Trust property, Object/purpose.**
- **Essentials (Sec.6):** intention to create trust, definite purpose, certain beneficiary, definite trust property, transfer/acceptance.

### Three certainties (Knight v. Knight)

1. Certainty of intention
2. Certainty of subject-matter
3. Certainty of object (beneficiaries)

### Kinds of trusts (short)

- **Private vs Public (charitable)** — Public trusts (charitable/religious) not governed by Trusts Act.
- **Express, Implied/Resulting, Constructive (by operation of law).**
- **Discretionary, Fixed, Revocable, Irrevocable.**

### Creation (key points)

- Must be by a person competent to contract (not minor).
- Transfer/declared trust: movable — delivery/declaration; immovable — writing & registration (where applicable).

- **Void trusts:** unlawful object, uncertain beneficiaries, non-existent/untransferable subject.

### Trustees — Rights, Duties & Powers (Secs.11–55)

**Main duties:** execute the trust; act with care & prudence; be impartial; maintain accounts; not profit from trust; prevent breach.

**Rights:** indemnity, reimbursement, possession of title deeds, apply to court for directions.

**Powers:** sell, lease, invest (prudent person rule), appoint agents (supervise them).

**Key cases:** *Keech v. Sandford* (no profit rule); *Speight v. Gaunt* (standard of care).

### Beneficiaries — rights & liabilities (Secs.55–69)

**Rights:** income/profits, inspect accounts, enforce trust, trace misapplied property, compel transfer on completion.

**Liabilities:** if consented to breach or acted fraudulently; must indemnify trustee if instructed wrongful act.

### Extinction (Secs.77–79)

Trust ends when purpose fulfilled, becomes unlawful, impossible (destruction), or revoked (if revocable). On extinction trustee must transfer property to entitled person.

**Key cases:** *Milroy v. Lord* (imperfect gift cannot be perfected by equity); *Morice* (certainty of objects for private trusts).

## UNIT III — EASEMENT (Indian Easements Act, 1882)

### Definition (Sec.4)

Easement = right of owner/occupier of certain land (dominant heritage) for beneficial enjoyment to do/continue to do or prevent doing something in/on/with respect to another land (servient heritage).

### Essentials

1. Two distinct tenements (dominant & servient).
2. Different owners/occupiers.
3. Right must benefit dominant tenement.
4. Right must be capable of being an easement (not mere personal privilege).

### Kinds (core)

- **Continuous / Discontinuous**
- **Apparent / Non-apparent**
- **Positive / Negative**
- **Permanent / Temporary**

### Acquisition modes

- **Express grant/reservation**
- **Prescription** (Sec.15 — 20 years open, peaceful, as-of-right; 30 years for government land)
- **Necessity / Quasi-necessity** (Sec.13)
- **Custom** (Sec.18 — ancient, certain, reasonable local usage)

### (i) Easement of Necessity vs Quasi-Easement (explicit)

- **Easement of necessity:** arises when land severed leaves no access except over grantor's land — **absolute necessity**; lasts only until necessity continues. (Requires unity of title before severance.)  
*Case: Maniklal v. Hirallal.*

- **Quasi-easement (Wheeldon v. Burrows principle):** arises from pre-existing continuous & apparent use by owner over one part for benefit of another — on severance, implied grant unless excluded. Requires continuity & apparentness (not absolute necessity).

### Prescription — essentials

- Use *nec vi, nec clam, nec precario* (not by force, not secretly, not by permission).
- Continuous & uninterrupted for statutory period; interrupted use restarts period.

### Customary easement

- Local, ancient, reasonable custom; applies to community/inhabitants.

### Extinction of easements

- Release, unity of ownership and possession, abandonment/non-use (20 yrs), destruction of servient tenement, express prescription, statute.

**Key cases:** *Wheeldon v. Burrows* (quasi-easements), *Taylor v. Plumer* (tracing misapplied property), various Indian precedents on prescription.

## UNIT IV — LICENCE (Easements Act Sec.52 & Secs.60–64)

### Definition (Sec.52)

Licence = permission by owner/possessor to do on his immovable property something that would otherwise be unlawful; does **not** amount to easement or transfer of interest.

### Essentials

- Grantor must be owner/lawful possessor.
- Permission to do act on land.
- Act would be unlawful absent permission.
- No proprietary interest is created (personal right).
- Generally **revocable**.

### Nature & tests

- Operates **in personam**.
- Personal, non-transferable (unless coupled with interest or contractual terms).
- **Intention test:** whether parties intended to create interest (*Associated Hotels v. R.N. Kapoor*; exclusive possession not decisive).

### Licence vs Easement vs Lease — ultra-short table

- **Licence:** personal permission; revocable; no estate.
- **Easement:** proprietary right attached to land; runs with land; not revocable at will.
- **Lease:** transfer of right to enjoyment/possession for rent; creates estate; protected by Transfer of Property Act.

(Memorize *Associated Hotels (1959)* and *Delta (1999)* for tests.)

### Revocation (Secs.60–64)

- **General rule (Sec.60):** revocable at will **except:**
  1. **Licence coupled with interest** — irrevocable while interest subsists; or

2. **Permanent work + expenditure** by licensee in good faith — licensor cannot revoke to licensee's prejudice.  
(*Ram Sarup Gupta*).

- **How revoked:** express or implied; deemed revoked on sale of land, death, destruction, expiry, purpose accomplished, licensee releases it. (Sec.62).
- **After revocation:** licensee is entitled to **reasonable time** to depart/remove goods (Sec.63); **compensation** if licence was for consideration and wrongfully revoked (Sec.64).
- **Continued occupation after revocation = trespass.**

—Abhishek Chaudhary